Report No. 25818-AZ

Azerbaijan
Building Competitiveness
An Integrated Non-Oil Trade and Investment Strategy (INOTIS)

(In Two Volumes) Volume I: Summary Report

November 20, 2003

Poverty Reduction and Economic Management Unit (ECSPE)
Europe and Central Asia Region

Document of the World Bank

CURRENCY EQUIVALENTS

(As of April 15,2003)

Currency Unit = Manat (AZM)

US$1 = AZM 4,898

FISCAL YEAR

January 1 to December 31

ACRONYMS AND ABBREVIATIONS

ADB	Asian Development Bank
ADDY	State Railway Company
ADR	Alternative Dispute Resolution
AZERPRO	Trade and Transport Facilitation Committee
AZPLAC	Azerbaijan Policy and Legal Advice Center
BEEPS	Business Environment and Enterprise Performance Survey
CIS	Commonwealth of Independent States
EBRD	European Bank for Reconstruction and Development
EU	European Union
EU TACIS	European Union Technical Assistance to Commonwealth of Independent States
FDI	Foreign Direct Investment
FIAS	Foreign Investment Advisory Services
FTA	Free Trade Agreement
GDP	Gross Domestic Product
GOA	Government of Azerbaijan
GOST	Gosstandart (State Committee of the Russian Federation for Standardization and Metrology)
GSP	General System of Preferences
GTZ	German Agency for Technical Cooperation
IAS	International Accounting Standards
ICT	Information and Communication Technologies
IDPs	Internally Displaced People
INOTIS	Integrated Non-Oil Trade and Investment Strategy
IPR	Intellectual Property Rights
IsDB	Islamic Development Fund
ISO	International Standards Organization
MED	Ministry of Economic Development
MENR	Ministry of Ecology and Natural Resources
MFBA	Micro Finance Bank of Azerbaijan
MFN	Most Favored Nation Status
MLSPP	Ministry of Labor and Social Protection of Population
MOA	Ministry of Agriculture
MOC	Ministry of Communications
MOEd	Ministry of Education
MOF	Ministry of Finance
MOFA	Ministry of Foreign Affairs
MOH	Ministry of Health
MOJ	Ministry of Justice
MOT	Ministry of Transport
MOTax	Ministry of Taxes
MRA	Mutual Recognition Agreement
NBA	National Bank of Azerbaijan
NGO	Non-Governmental Organization
OECD	Organization for Economic Cooperation and Development
PRSP	Poverty Reduction Strategy Paper
SCAC	State Construction and Architecture Committee
SCC	State Customs Committee
SCS	State Committee for Securities
SFD	State Fire Department
SME	Small and Medium Enterprises
SMME	Small, Medium and Micro Enterprises
SPPRED	State Programme for Poverty Reduction and Economic Development
SSC	State Securities Committee
SSMA	State Standards and Metrology Agency
STATCOM	State Statistical Committee
SVC	State Veterinary Committee
TBT	Technical Barriers to Trade
TRACECA	Transport Corridor-Europe, Caucasus, Asia
TRIPS	Trade Related Intellectual Property Rights
UNDP	United Nations Development Program
USAID	United States Agency for International Development
USTDA	United States Trade Development Agency
WB	World Bank
WTO	World Trade Organization

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CHAPTER 1 - INTRODUCTION

1.1 Background

Following independence, Azerbaijan experienced a dramatic drop in output, much greater than other transition economies

1. Azerbaijan's early transition to an independent, market-based economy has been tumultuous, entailing significant economic costs and social impacts. Following independence in 1991, Azerbaijan was subject to massive economic shocks resulting from the disintegration of the Soviet Union's managed system of production, trade, and fiscal transfers. The economy was characterized by hyperinflation, real currency depreciation, and a dramatic drop in output—on average much greater than that experienced by other transition economies during the same period. By 1995, it is estimated that GDP was only 44 percent of its 1990 level and household consumption declined by approximately 50 percent.

While it has been able to achieve macroeconomic stability and resume growth remarkably quickly...

2. Yet, unlike many transition economies, sound economic reforms since 1995 have enabled Azerbaijan to achieve macroeconomic stability and resumption of growth relatively quickly. Since 1995, the inflation rate has been kept below 2 percent, falling to 1.5 percent in 2001. The budget deficit has been cut from 10 percent of GDP in 1994 to between one and two percent. The privatization program has contributed to the growth of the private sector, which now accounts for more than 71 percent of GDP. Land reform was implemented, with 1.3 million hectares of agricultural land distributed to rural residents. Between 1995 and 2001, GDP increased by a factor of 2.5, industrial production by 3.5, and foreign trade by 2.2.

...poverty remains a persistent and growing problem especially among IDPs

3. Despite these important achievements, the impact on poverty reduction has been modest, particularly in the case of the urban poor that did not benefit from land reform. According to the most recent World Bank Poverty Assessment, poverty remains a major challenge: almost four million people, close to 50 percent of population of Azerbaijan, live in poverty (as of 2001), consuming less than US$24.50 per capita per month; and approximately 1.3 million persons live in extreme poverty, with monthly consumption below US$14.70 per capita. Moreover, most non-income indicators of poverty, such as the quality of health care and schooling, and access to basic services, appear to have deteriorated. Unemployment and underemployment remain high.

4. In light of this persistent magnitude of poverty, the Government of Azerbaijan has committed to a comprehensive and ambitious poverty reduction program through a balanced approach to economic reform, as outlined in the recently approved State Program on Poverty Reduction and Economic Development (SPPRED). Ongoing macroeconomic and structural reform efforts are coupled with direct interventions to alleviate poverty and improve living conditions.

1.1.1 The Role of Trade and Investment in Reducing Poverty

5. The World Bank[1] has forecasted fast economic growth in the coming years—real GDP is projected to grow 13 percent per annum. The oil sector is expected to be the

[1] World Bank, "Azerbaijan Republic Poverty Assessment," Report No. 24890-AZ, December 19, 2002.

primary driver of this growth, accounting for 75 percent of the total increase in real output. Projected growth in the non-oil sectors is 6.3 percent. While relatively slow compared to the expected rapid growth in the oil sector, it would be a significant improvement over the average 3.8 percent growth rate achieved between 1995 and 2001. This base case growth scenario would reduce the incidence of poverty from 50 percent to 30 percent of the population and would reduce the share of those in extreme poverty from 17 percent to 7 percent by 2010.

Growth of the non-oil sector is critical to achieving poverty reduction

6. It is widely recognized that achieving the forecasted growth in the non-oil sector will be critical to achieving the SPPRED's objectives. While the oil sector will contribute to the majority of GDP growth, the magnitude of poverty reduction will be dependent on achieving the projected growth in the non-oil sectors. The oil sector is not expected to have a direct impact on the poor due to the very limited effect of expanded petroleum output on employment. In 2001, for example, the oil sector accounted for 30 percent of GDP, but only one percent of employment. Therefore, the achievement of any significant increases in employment, and accompanying reductions in poverty, will require substantial and sustained efforts to stimulate the growth of the non-oil sectors.

The challenge is to enhance the competitiveness of the non-oil sector to world standards

7. Achieving the necessary expansion of the non-oil sector will be a challenge, given the dramatic contraction of the non-oil sector over the past decade. Between 1990 and 2001, the non-oil sector (including manufacturing, agriculture, construction, and services) declined from more than 90 percent of GDP to 70 percent. The non-oil manufacturing sector was the hardest hit, declining by 70 percent, from more than 16 percent in 1990 to less than 4.8 percent in 2001. While it will be a significant challenge, the growth projection is less ambitious than it appears. Substantial capacity remains in place. According to the recent Business Environment and Enterprise Performance Survey (BEEPS),[2] firms are operating substantially below capacity and close to 50 percent of firms surveyed are operating at below 40 percent capacity. This is reflected in the evidenced decline in labor productivity (as measured by output per worker), which remains well below 1990 levels.

Box 1.1 - "The Resource Curse"

The well-documented impact of oil abundance on economic performance cannot be ignored: **empirical evidence suggests that growth is systematically lower in countries with large natural resource endowments.** Worse, small economies with mineral resources tend to be among the worst growth performers.[†] **As the experience of other countries has shown, strengthening implementation capacity to spend the additional fiscal revenues wisely is the key factor.** There is always the risk that public spending designed to spur growth or modernization will result in very low rates of return or will require continued subsidization in the future. In some other countries, a resource boom has lead to rent-seeking behavior to garner the windfall. This occurs in an environment of weak institutions.[‡] Strategic priority setting and sequencing of policy measures taking into account institutional capacities therefore becomes crucial.

[†] See for example Sachs and Warner, "Natural Resource Abundance and Economic Growth," 1995, and Auty, "Sustaining Development in Mineral Economies: the Resource Curse Thesis,", 1993.

[‡] See Phillip R. Lane and Aaron Tornell, "Power, Growth and the Volacity Effect." *Journal of Economic Growth*, Vol. 1(2), 1995, for further discussion of some of these issues.

[2] EBRD and World Bank, Business Environment and Enterprise Performance Survey, 2002. Approximately 200 firms in Azerbaijan were surveyed in this comprehensive survey covering private sector perceptions of the business environment and firm performance.

8. While physical capacity is still in place, the challenge remains to increase the competitiveness of Azerbaijan's non-oil sectors in the marketplace. Given the small size of the domestic market—both in terms of production resources and consumption—access to foreign markets, through trade and investment, will be critical to achieving economic diversification that will ultimately bring increased employment, more regionally balanced development, and encourage innovation.

The economy must maintain macroeconomic & monetary stability while strengthening non-oil competitiveness

9. In many ways Azerbaijan is a country of three economies—a large and growing oil and gas sector that has driven rapid economic expansion, but has resulted in few employment opportunities; a small non-oil economy, where employment growth has been modest, or may have actually contracted over the past few years; and a hidden and growing informal economy, whose size is large even by standards of most transition and emerging countries. The economy is facing a dual macroeconomic challenge: to maintain macroeconomic and monetary stability while strengthening competitiveness of the non-oil sector, and to complete the transition agenda of structural reform, which may see some traditional activities disappear or stabilize at much lower levels of output and employment. Maintaining macroeconomic achievements may represent a greater challenge to the authorities in the coming decade. Both the transition process and the booming oil sector will lead to large restructuring of the economy.

Balanced growth between the new oil sector and the traditional non-oil sector is a major challenge.

10. The oil and gas windfall will be of undoubted benefit to the country and its citizens if combined with a very careful macroeconomic policy and fiscal stance, as well as steadfast implementation of the structural reform program and poverty reduction strategy. The experience of other resource rich countries has often been disappointing and left large strata of the population in continued poverty (Box 1.1). Balanced growth between the new oil sector and the traditional non-oil sector is a major challenge—adapting to Azerbaijan's increasing integration into the world market, creating productive employment opportunities, and reducing poverty. Excess supply of foreign exchange may lead to appreciation of the exchange rate, and excessive fiscal spending may lead to inflation and inefficiency—"Dutch disease" symptoms that hamper competitiveness and growth of the non-oil sector.

The exchange rate does not appear to threaten competitiveness now, but remains a future challenge

11. The exchange rate does not appear to hamper competitiveness as of now, but remains a future challenge. There is significant evidence that suggests that the real exchange rate is not overvalued[3], and that structural factors are hampering competitiveness. However, maintaining an adequate exchange rate will become a challenge, once the oil windfall would materialize. Given the fact that private sector is liquidity constrained (the capital market is underdeveloped), fiscal policy will provide the main policy tool to manage the oil windfall successfully, as well as accumulating the excess oil revenues in the Oil fund abroad, will provide a fiscal sterilization, thus avoiding excessive real exchange rate appreciation.

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[3] This is evident by the fact that real exchange rate has even depreciated with about 20 percent during 1997 –2002. Robust growth of the non-oil sector, especially agriculture during the last five years provides further evidence that the real exchange rate is not overvalued. Furthermore, according to the analysis of the impact of exchange rates of transition economies on their competitiveness provided by EBRD (EBRD Transition report, 2000, pp. 62) which compares dollar wages in transition economies to dollar wages of countries of similar levels of productivity, workforce skills and comparable economic structures, for Azerbaijan, the ratio of actual dollar wages to comparable dollar wages was 0.6 in 1999, which implies that the real exchange rate is not overvalued. (See Azerbaijan Public Expenditure Review, April 2003).

1.2 This Study

1.2.1 Objectives

The study outlines an integrated approach for trade, investment and development of the non-oil sector

12. This study is a diagnostic of the non-oil trade and investment environment in Azerbaijan. Its primary objective is to define a strategy for enhancing competitiveness at the macro- and micro-levels, and increase trade and inward investment in the non-oil sector to assist in poverty reduction efforts. The strategy implements one of the key objectives of the SPPRED program, i.e., enabling income generating opportunities and jobs in the non-oil sector.

13. The main objective is to assist Azerbaijan in adopting an integrated approach for trade, investment, and industry development activities, and bring a focus on the development of actionable programs to enhance competitiveness at the industry cluster level. A key element of the strategy is in providing a framework to better integrate the efforts of key stakeholders—i.e., the Government, multilateral and bilateral donors, the private sector, and others—in promoting non-oil trade and investment. It does so by incorporating the current and planned activities of the stakeholders in the non-oil sector. It also integrates and complements the strategies outlined in the SPPRED program.

14. The analytical basis for the study includes the SPPRED program; various strategies and analyses of the Government, donors, IFIs, private sector groups and NGOs; relevant analyses of the World Bank and IMF; as well as three assessments conducted for this report:

- An analysis of administrative barriers to inward investment
- An evaluation of trade policy and market access agreements of Azerbaijan including issues related to WTO accession
- A pilot study of the potential for a fruit and vegetable processing cluster

This study also incorporates detailed discussions with a wide range of private, government and non-governmental organizations and individuals in Azerbaijan, as well as a number of surveys. It integrates the findings and recommendations of participants at a one-day workshop on the strategy held on June 23, 2003.

1.2.2 Organization

15. The overall study is comprised of two volumes: **Volume 1** is a summary report that outlines the development strategy and action plan; **Volume 2** is comprised of the various component reports conducted for the study:

- Annex 1: Recent Economic Developments and Economic Outlook
- Annex 2: Analysis of Azerbaijan's Foreign Trade and Inward Investment
- Annex 3: Market Access Issues for Azerbaijan
- Annex 4: Is Accession to the WTO in the Economic Interest of Azerbaijan?
- Annex 5: Business Environment and Competitiveness
- Annex 6: Azerbaijan Administrative Barriers Analysis

16. This volume is organized into the following chapters. **Chapter 2** outlines the overall potential for the non-oil sector in Azerbaijan and the challenges ahead, and presents an overview of the integrated strategy to overcome the challenges and achieve the development vision. **Chapters 3** through **6** present the detailed, component strategies. **Chapter 7** presents a detailed, time-bound action plan of practical steps to implement the strategy.

17. The document incorporates the comments and suggestions of the Government, business community and other stakeholders made during a workshop conducted on the draft strategy in Baku on June 23, 2003.

CHAPTER 2—OVERVIEW: INTEGRATED NON-OIL SECTOR TRADE AND INVESTMENT STRATEGY

2.1 Recent Trends in Non-Oil Sector Trade and Investment

While Azerbaijan has a positive trade balance and significant FDI, these are concentrated in oil and gas

18. Unlike most CIS countries, Azerbaijan enjoys a positive trade balance and has been quite successful in attracting foreign direct investment (FDI). However, most of this activity is focused on the oil and gas sector. The sector accounts for almost 80 percent of FDI inflows, and is set to increase even further as the anticipated massive investments associated with the oil and gas pipeline project materialize. Azerbaijan's exports are excessively concentrated, even by standards of major oil exporters in the world, and its reliance on fuel exports has increased since the mid-1990s. In 2001, fuel exports constituted over 91 percent of foreign sales.

Non-oil exports are focused on traditional markets; the share sent to OECD markets has dropped over the past decade

19. The dominance of the oil and gas sector and the reliance on traditional markets is also evident in foreign trade patterns. While Azerbaijan has reoriented a substantial share of its trade toward the EU and other OECD markets over the past decade (in 2001, almost 70 percent of Azerbaijan's exports went to the EU), the shift has been less dramatic in the case of non-oil exports, which remain destined largely for Russia and other CIS countries. Only 12 percent of non-oil exports were sent to the EU and less than one quarter of non-oil exports went to OECD countries as a whole. More important, over the last five years, Azerbaijan's exports have been shifting away from its new markets in the EU. Over this period, non-oil exports to the CIS markets increased by 18 percent, while non-oil sales to the EU and the rest of the world went down by 12 and 14 percent, respectively.

Table 2.1—Geographic Orientation of Azerbaijan Exports, by Sector, 2001

(percent)

	EU	Turkey	Rest of OECD	Russia	Rest of CIS	Rest of World	TOTAL
Food and Live Animals	16.9	9.6	1.0	38.0	22.4	12.1	100.0
Beverages and Tobacco	0.0	7.0	2.2	52.1	14.6	24.1	100.0
Crude Materials	11.5	22.0	0.5	23.7	24.0	18.3	100.0
Mineral Fuels	74.9	2.3	0.7	0.6	4.8	16.7	100.0
Animal/Vegetable Oils	0.0	0.0	0.0	7.4	87.0	5.6	100.0
Chemicals	6.8	10.3	8.9	32.7	26.0	15.4	100.0
Basic Manufactures	12.2	6.1	2.4	19.0	9.4	51.0	100.0
Machinery and Transport Equipment	18.5	3.7	5.0	23.2	28.9	20.7	100.0
Miscellaneous Finished Manufactures	30.5	7.4	23.6	10.4	23.1	5.1	100.0
Unclassified	0.0	0.0	0.0	99.6	0.3	0.1	100.0
Total	*69.5*	*2.9*	*1.0*	*3.4*	*6.3*	*16.9*	100.0
Total Non-Oil	**11.9**	**9.4**	**4.5**	**32.7**	**22.2**	**19.3**	**100.0**

Source: UN COMTRADE via WITS Database.

2.2 Defining the Future Potential

20. There is little doubt that Azerbaijan is a country with abundant natural resources, a skilled workforce relative to prevailing wage levels, and a strategic geographic location. These comparative advantages give rise to a number of oil-related and non-oil development opportunities, which are only slowly being realized.

Sustainable growth will be in areas where Azerbaijan has competitive advantages

21. But it is important to ensure that Azerbaijan not compete on the export of resource endowments and raw materials alone. Worldwide evidence shows that most developing countries solely on the basis of raw materials, low cost labor, and geographical advantages—have gotten poorer on average; and have developed a persistent and often increasing gap between the rich and the poor.[4] Many oil-rich countries in the Persian Gulf and Latin America have viewed oil as the solution to their development problems; in fact, there is only a small positive correlation between rises in oil exports and increases in the standard of living. It is important that Azerbaijan not fall into the same perceptions trap; oil must be viewed as a means to upgrading the competitive environment within which Azeri firms produce and compete.

22. It is clear that a rapid and sustained diversification of economic activity beyond the oil sector is the only way for Azerbaijan to create employment opportunities, achieve broad-based growth, and meaningful levels of poverty reduction. Moreover, given the small size of the domestic market, increasing non-oil exports and investment will be critical in order to attain this goal.

Competitiveness must be defined at the cluster- and firm-level. Firms, rather than nations, compete for market share and resources

23. In this context, defining the future opportunities for growth and prosperity in Azerbaijan lies in building upon the competitive advantages of the country. What is competitiveness? The work of a number of competitiveness theorists has shown that the competitiveness of a nation is based upon the competitive position of its firms or industries. They, rather than nations, compete for market share and resources. At its core, national competitiveness is linked to productivity and the ability of a country to raise living standards over time.

Box 2.1—A Definition of Competitiveness

"The degree to which a nation can, under free and fair market conditions, produce goods and services that meet the test of international markets, while simultaneously maintaining and expanding real incomes of its people over the long term."

"Report of the U.S. Presidential Commission on Industrial Competitiveness" (1985).

24. This study does not rigorously identify future non-oil potentials for Azerbaijan, especially those arising from the application of a competitiveness approach. It does, however, include a pilot study of the fruit and vegetable-processing cluster in Azerbaijan to demonstrate the application of the cluster/competitiveness framework, and its possible application to other areas. Various other analyses have pointed to the potential of several other industry clusters, which are also profiled below, including support industries for the oil and gas sector; trade and transportation services; and telecommunications and IT services.

[4] Michael Fairbanks, "If Prosperity is a Nation's Choice: Seven things that government and private sector leader will have to do," Unpublished note, 2002.

2.2.1 Fruit and Vegetable Processing

Azerbaijan has considerable potential in exports of processed foods and vegetables and "green" products

25. Azerbaijan has enormous agricultural resources—nine "micro climates," fertile land, abundant supply of range of fruits and vegetables. The potential to enhance export-oriented fruit and vegetable processing activities is considerable, especially in the Russian market, as is already occurring. A more diffuse and longer-term export opportunity comes from the expanding international market for "green" products, which are foods grown without the use of chemical fertilizers, herbicides, or insecticides. Because much of the Azeri agricultural land lay fallow or at least had no chemicals applied over the last decade, foods grown on that land could qualify for green product designation. There are currently some 50 processing companies, of which five are successfully supplying a range of products (juices, dehydrated fruits, wine, jams, etc.) to local and export markets.

26. But there are a large number of factors to address to achieve this potential. These include weak factor conditions (e.g., inadequate supply of raw materials; price competition from fresh produce markets; unreliable power supply and other infrastructure constraints); demand conditions (preference for imported products; poor product quality and packaging); significant gaps in supporting industry (e.g., collection networks, post-harvest facilities, glass containers, testing facilities, irrigation infrastructure); and an unfavorable micro business environment (lack of contract enforcement, duties on packaging materials, predatory business practices, etc.).

2.2.2 Oil- and Gas-Related Industries

The implementation of the oil and gas projects will enable a range of support services and input suppliers

27. The full implementation of the pipeline projects and related oil and gas activities has the potential to stimulate development of a variety of products and services to be delivered locally.[5] These include basic equipment and machinery; metalworking; upstream industries; specialized chemicals and solvents; and the provision of a range of technical and business services (e.g., repair and maintenance, waste management and environment, transportation services, food services, among others). The Enterprise Center set up under the aegis of the Business Development Alliance has already taken the lead to define and realize these potentials, aimed at Azeri-owned and operated companies.[6]

28. While this is an immediate and tangible opportunity for local suppliers, several issues need to be addressed. A number relate to the high quality standards, large average orders, and stringent delivery requirements of western oil companies that are difficult for most local suppliers to meet. Other issues arise from the production sharing agreements that regulate the oil business. They implicitly contain an import bias in that local businesses are not protected by them and frequently cannot raise bank funding.

29. Other opportunities are found in upstream oil and gas-related processing industries, including various chemical and petrochemical industries. The viability of these, however, needs to be carefully established, including an assessment of long-term global demand and supply trends.

[5] Initial supply chain studies undertaken by BP identified some 12 industries with potential to support the oil and gas industry.

[6] The Center provides information on supplier capabilities, resources available to suppliers, current and future supply opportunities, BP's expectations for Health, Safety and Environment, quality and business conduct, required technical standards, pre-tender meetings and other related areas. The Center also provides supplier training and consultancy services.

2.2.3 Trade/Transportation Services and Regional Hub

Transit trade is likely to expand dramatically, driven by activities in the Caspian

30. Another near-term potential for Azerbaijan is in the trade and transportation services sector. Azerbaijan lies on the most direct route from the Black Sea to the Caspian Sea, and onwards to the Central Asian Republics. Demand for trade facilitation services in Azerbaijan is accelerating as oil and gas activities in the Caspian increase in scale and scope. Already, it serves as a major conduit point for oil and oil products from Caspian to the ports in the west. According to a recent World Bank report on trade and transport facilitation,[7] transit cargo volumes are set to increase dramatically in line with the over US$10 billion in oil-related investment expected over the next decade. The main components of West-East transit trade will include oil equipment; humanitarian aid and reconstruction support to Afghanistan; containerized consumer goods; and a variety of machinery and equipment for SMMEs. East-West trade is likely to be dominated by oil and gas (LPG) exports.

Transit trade is likely to expand dramatically, driven by activities in the Caspian

31. Given its favorable geographical location as the only major urban area on the Caspian, Baku has the potential to become a hub to serve markets in the Caspian region more cost-effectively. At present, several companies based in Baku serve regional markets by storing, sub-dividing, mixing, and re-packaging goods in European locations, such as Frankfurt. Much of these types of activities can be conducted in Baku. But many issues remain to be resolved to realize these opportunities. At present, major physical, administrative, and institutional factors raise effective trade and transportation costs, especially when all unofficial payments and delays are taken into account. Azerbaijan also lacks basic facilities such as bonded commercial warehouses and free zones[8] that would greatly facilitate development of these activities.

Baku has the potential to become a services hub for the Caspian, and host regional headquarter operations

32. A related, but longer-term opportunity is for Baku to become a full-fledged services hub for the Caspian area. Baku is the only city in the area which can develop a full set of financial, trade, transportation, and related services. It can develop into a center for regional headquarter operations, by capitalizing on these unique strengths. But realizing this potential will not only require the development of a specialized legal and regulatory framework for regional headquarters operations. It will also require the development of a common vision among government, business and other stakeholders, and the political will to establish an appropriate enabling environment.

2.2.4 Telecommunications and IT services

There are significant opportunities in value-added telecom, networking, software, and IT services

33. Azerbaijan also has the potential to attract investments and boost growth in a range of information and telecommunications services. With the growth of economic activity associated with the oil and gas industry grows, demand for a wide range of value-added telecommunications and networking services will increase significantly. These include local loop and long distance telephony services; cellular paging and satellite services; data access services; Internet services; and private network services. Growth of corporate networks will provide demand for software and infrastructure integration services; Internet security applications; and web hosting services. There is also potential,

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[7] "Trade and Transport Facilitation in the South Caucasus—Azerbaijan," World Bank Policy Note, November 2002.

[8] The scheme was effectively abolished through a recent deregulation decree of the President, which removed the need for bonded warehouses to be licensed by the State Customs Committee. Draft regulations have been prepared by the SCC and are now awaiting Presidential approval.

eventually, for the expansion of advanced media services, such as digital content creation and paid access services. With the right infrastructure and skills development program, Azerbaijan could also develop an export-oriented software and IT services industry.[9]

34. But the development of these services is deterred by significant legal, regulatory and institutional obstacles. At present, limited competition has been allowed in the telecommunications market—there are two cellular telephony providers (one a joint venture with the Ministry of Communications); the national telecommunications operator, Aztelecom has a monopoly over fixed line telephony (voice and data), as well as a broad range of telecommunications services. Internet service providers are under a number of restrictions that limit the potential for web hosting services. The basic laws governing communications and broadcasting have a number of problems including content controls. The Ministry of Communications is both the regulator and an operator. Privatization of Aztelecom is proceeding.

2.3 Key Challenges to Increasing Non-Oil Exports and Inward Investment

Achieving growth in the non-oil sectors faces a wide range of legal, institutional and infrastructure challenges

35. The potential exists to develop a range of non-oil sectors is substantial, but Azerbaijan's competitiveness in export markets and as a location for inward investment in the non-oil sectors is adversely affected by a number of factors. Initial reforms have created an important foundation for the development of a competitive market-based economy, various legal, institutional, and infrastructure challenges remain (see Table 2.2). The impact of each of these issues is particularly negative for SMMEs, who have neither the resources nor the capacity to deal with many of these issues.

Table 2.2—Key Challenges to Increase Non-Oil Exports and Investment

Trade Policy and Market Access
• Address policy and legal issues impeding WTO accession, including subsidies, standards, intellectual property, and agriculture • Reduce level of tariff dispersion • Increase utilization of preferential bilateral and regional free trade agreements to EU and CIS markets
Trade Facilitation and Transportation
• Improve customs policies and procedures to reduce administrative and transaction costs • Automate customs and trade procedures and improve customs capacity to reduce delays and curb illegal transactions • Improve management of transit cargo and communication among border agencies • Develop comprehensive and integrated transport sector policy • Provide framework for and encourage competition in transportation and shipping services • Upgrade/rehabilitate key transport infrastructure • Provide critical facilities for trade efficiency such as bonded warehouses and free zones
Macro Business Environment
• Increase clarity of the draft investment law • Further reduce administrative burden of business registration and licensing procedures • Simplify land titling and site development procedures • Strengthen judicial system, contract enforcement, and dispute settlement systems • Improve monitoring and enforcement of intellectual property laws

[9] A UNDP-sponsored study of the ICT sector export potential in Azerbaijan has set very aggressive targets for exports of software and ICT services.

• Address remaining gaps and inconsistencies in Tax Code and regulations • Reduce effective tax burden on SMMEs • Improve tax administration practices, particularly for SMMEs • Strengthen competition policy enforcement and corporate governance practices to discourage predatory business practices • Increase access to financing, especially for SMMEs • Increase flexibility in labor code to reduce effective labor costs • Improve skills training to meet needs of growing non-oil sectors • Upgrade/rehabilitate utility infrastructure • Strengthen private sector institutions to enable private sector input in policy-making • Develop effective public-private partnerships for dialogue and governance
Micro Business Environment
• Encourage development of business and technical support services for enterprises • Improve access to information on markets and technologies • Encourage greater vertical and horizontal relationships among firms in value chain • Provide greater support for entrepreneurship development

36. Most SMMEs prefer or are forced to operate outside the formal sector—in 2002, it was estimated that the size of the informal economy in Azerbaijan is equivalent to more than 60 percent of GDP, significantly higher than other transition economies (which average 38 percent).[10] The Government's estimates are lower, but still point to the existence of a large informal economy.

2.4 Ongoing and Planned Technical Support Activities in the Non-Oil Sector

Much donor assistance is already in place to support non-oil sector development, but gaps remain

37. To address these issues, the Government, donors and other stakeholders have sponsored a number of activities to develop non-oil activities. The Government (through the Ministry of Economic Development, MED) is active in business development primarily through an entrepreneurship development fund, whose activities are discussed further below. It also provides business development assistance through the Small and Medium Enterprise Development Agency (SMEDA). The potential for the establishment of business incubators and business and industrial parks is also being examined.

38. Efforts to stimulate non-oil entrepreneurial activity have been spearheaded by a number of donors. Over the past few years, many donor programs have shifted from purely humanitarian assistance to the promotion of broad-based economic growth. There is a shared view that Azerbaijan has a strategic window of opportunity over the next few years to capitalize upon the growth of the oil and gas industry. The various trade capacity-related initiatives (see Appendix A) can be grouped primarily into several areas: trade and investment; trade and transport facilitation; enterprise and industry development; and SME and microfinance.

39. Despite the plethora of donor-funded programs to promote the non-oil sector, it is evident that many important issues are not being addressed and there are overlaps among several programs. Even worse, many donor initiatives have established or have proposed the formation of a various project delivery mechanisms and public-private partnerships,

[10] Friedrich Schneider, "Unofficial Activities in Transition Countries: Ten Years of Experience." (Working Paper, October 2002).

which may benefit from rationalization. Overall, donor, government and private sector efforts aimed at boosting the non-oil sector are still inadequately coordinated and integrated, and could greatly benefit from a more integrated approach.

2.4.1 Trade and Investment

40. There has been an increasing emphasis among donors on promoting trade and investment in non-oil activities. Part of this has focused on enhancing the investment environment, where FIAS has taken the lead in undertaking a recent diagnostic study, and reviewing draft revisions of investment legislation and recent Presidential decrees on deregulation. This has been deepened by an initial analysis of administrative barriers to inward investment conducted for this study.

Direct support for trade capacity building activities has been limited

41. Limited support has been provided in the area of trade capacity-building directly. A Tacis project to support implementation of the EU Partnership and Cooperation Agreement (PCA) was been broadened to include WTO issues; a new project to continue support of the PCA is planned. A technical assistance activity funded by the U.S. Trade Development Agency (TDA) to assist Azerbaijan in its WTO accession process has just been started, with a long-term adviser assisting the MED.

2.4.2 Trade and Transport Facilitation

Donor interest in trade & transport facilitation has increased but has not been comprehensive in scope

42. Other initiatives have addressed the issue of enhancing trade facilitation, customs operations and transport. These include a recent IMF-supervised study of the effectiveness of customs procedures and organizational framework;[11] a World Bank regional study of trade facilitation issues in the South Caucasus;[12] and an on-going EU trade and transport facilitation program in Central Asia and the Caucasus, including Azerbaijan.[13] These studies have identified the main areas for improvement and have provided technical and financial support in a number of areas. Assistance to the State Customs Committee in installing a data network system has been provided by UNDP; this has recently been expanded to the creation of price databases and a risk management system.

43. Assistance has being provided to review draft regulations on bonded warehouses. Short-term assistance (through this study) was provided to the MED to review a proposed Special Economic Zone (SEZ) law, which is now under consideration.

2.4.3 Enterprise Development

The major emphasis has been on the development of new non-oil enterprises

44. The greatest focus of donor assistance has been directed at providing technical and financial support to individual enterprises; strengthening business associations; and conducting sector studies of selected non-oil industries. Various nongovernmental organizations have been engaged in micro-enterprise and business association development, particularly in areas outside of Baku, primarily under USAID programs.

[11] "Azerbaijan Republic: Evaluation of the Structure and Activities of the State Customs Committee," PriceWaterhouseCoopers, January 2002.
[12] "Trade and Transport Facilitation in the South Caucasus—Azerbaijan," World Bank Policy Note, November 2002.
[13] TRACECA program (Transport Corridor Europe Caucasus Asia).

The National Confederation of Entrepreneurs provides some technical assistance and matchmaking services to its membership with funding from the EU.

45. A number of Tacis and GTZ programs have been active in providing firm-level technical assistance. Tacis has provided funding and technical support to SMEDA, which has been working with a number of enterprises. GTZ is undertaking a comprehensive program to provide business advisory and technical support to selected firms to promote non-oil exports. Targeted firms are in the garments/silk, wines, fruit and vegetable processing, and machine building industries.

46. The International Finance Corporation (IFC) has launched an initiative to develop supply and other linkages between SMEs and the oil and gas industry. A future program may be aimed at the development agribusiness enterprises. It also undertook an investor's conference in Baku in May 2003 which was attended by some 200 investors.[14]

The BDA is a unique partnership approach to enterprise development

47. A comprehensive approach that is sponsoring various activities to develop suppliers for the oil and gas industry, and promote enterprise development in other non-oil industries is being led by the Business Development Alliance—comprised of a broad cross-section of NGOs, embassies, business associations, and oil companies.[15] Among the most important of its activities is the establishment of the Enterprise Center in Baku (funded by British Petroleum), which maintains a database of local firms; conducts training and entrepreneurship development; and has conducted a supply chain assessment to identify potential products and services for the oil and gas industry and evaluate the capabilities of existing Azeri firms.

48. New activities are focusing on trying to facilitate the formation of industry clusters as a more effective tool for private sector support. In particular, USAID is about to implement a program to facilitate the development of agro-processing clusters in the rural economy, drawing upon the pilot study conducted for this report.

2.4.4 SME- and Microenterprise Finance

A variety of financing schemes for SMMEs are available, but overall coverage is still limited

49. A number of initiatives are also underway to enhance SMME access to credit through funding provided by IFC, EBRD, KfW, and others, mainly in the form of credit lines on-lent through local banks. However, there is growing evidence that average loan size and interest rate levels are too high (3.5 percent per month), beyond the reach of most SMMEs.

50. While a number of innovative and well-regarded microcredit schemes are available under USAID and World Bank programs, the size and coverage of these are relatively limited. To address these issues, the IFC, along with EBRD, Black Sea Trade and Development Bank, KfW, and LFS, has established a microfinance bank to provide debt and equity under terms and conditions accessible by SMMEs. Since beginning

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[14] The work was undertaken by SOFI (Swiss Organisation for Facilitating Investments).

[15] Founding Members of the BDA include the Embassy of Norway, International Alert, BP, The Eurasia Foundation, Citizens Democracy Corps, the American Chamber of Commerce in Azerbaijan, and the Azerbaijan Entrepreneurs Confederation. Other participants include the Embassies of UK, USA, Israel and Germany; Kosia/Smeda; FAR Center, Statoil, DevonPennzoil and Agip; the IFC, EBRD and UNDP; and representatives from the Government of Azerbaijan and other businesses and NGOs.

operations in October 2002, the bank has provided over 1,000 microcredits[16] worth over US$1 million.

51. In August 2002, a presidential decree[17] established a National Fund for Entrepreneurship Development (US$50 million) under the MED to provide a variety of funding for SMMEs, including micro-finance schemes; assistance to credit unions; venture capital; etc. According to MED officials, more than 300 enterprises have been financed through the Fund as of June 2003.

Achieving the potential will require the implementation of an integrated development strategy

2.5 Achieving the Vision: Strategy Overview

52. The potential for growth of the non-oil sector is significant, and can be greatly catalyzed by the increasing economic impact of the oil and gas activities. However, doing so will require the formulation of integrated and actionable strategy, and a realistic implementation plan that build on existing and planned Government and donor-funded activities. The following chapters provide an overview of the key issues and recommendations for improving the environment to increase non-oil sector trade and investment. The discussion is broken down into four broad components:

- **Improving the Trade Policy Regime and Market Access.** Key strategies include accelerating Azerbaijan's accession to the WTO, increasing access to regional markets and the European Union; improving access to finance; streamlining administrative procedures.

- **Enhancing Trade Facilitation.** Key strategies include streamlining and strengthening customs procedures and improving the quality and capacity of Azerbaijan's transportation infrastructure.

- **Improving the Macro Business Environment.** Strategies to improve the macro business environment cover a wide range of issues impacting on private sector development, including improving business registration and licensing; land acquisition and site development; labor market policies; taxation; access to credit; support for SMMEs; contract enforcement and dispute settlement; and public sector governance.

- **Developing Competitive Industry Clusters.** A pilot study in the agro-processing cluster points to industry-specific strategies for improving inter-firm cooperation, promoting innovation and quality, encouraging specialization and strengthening supply chains.

2.6 Key Success Factors

53. The experience of trade and investment strategies has pointed to a number of key success factors. First, the strategy and action plan itself must be practical, time-bound and

[16] The credits carry an annual interest rate of 36 percent, much lower than the 15 percent/month being charged SMMEs by informal lenders. Over 90 percent of clients are new to the banking system.

[17] State Program on Small and Medium Entrepreneurship Development in the Azerbaijan Republic (2002-2005). Approved by Decree No. 753 dated August 17, 2002, of the President of the Azerbaijan Republic.

be able to effectively monitored and evaluated. Second, the strategy will succeed only if it is led and directed by the private sector. Industry leaders must continuously fine-tune strategies and actions to support the industry, and monitor the effectiveness of the actions implemented. In particular, the *private sector* in Azerbaijan (local and foreign) should spearhead development of a number of areas:

- **Innovative approaches to manpower development.** Industry can foster closer ties to the educational system, including funding and technical direction, to upgrade the quality and quantity of manpower, meeting the requirements of non-oil industries.

- **Active support in marketing, technology and financing.** The private sector can collaborate to jointly undertake export marketing and investment promotion initiatives, and enhance efforts to access technologies.

- **Upgrading industry capabilities.** Industry can spearhead initiatives to create and implement quality certification systems to world standards. Companies can collaborate to develop the necessary scale and capability to penetrate service global markets.

- **Infrastructure provision.** The private sector can provide value-added data telecommunications services and develop purpose-built facilities to meet industry requirements.

54. Third, active and sustained support of the Government is also a key prerequisite for success. The political will to support development of an enabling environment must come from the highest levels. Coordination among various ministries and groups is critical. *Government* should take the lead role in the following areas:

- **Development of a supportive regulatory framework.** This includes streamlining of procedures, better enforcement of existing laws, modifying certain provisions of existing laws and regulations, and separating the Government's regulatory functions from commercial operations through privatization and de-monopolization, particularly in the utilities and transportation service sectors.

- **Provision of critical infrastructure.** This includes rehabilitation of transportation infrastructure; improvements to the power distribution network and municipal services.

- **Development of innovative institutional and governance structures.** The creation of a public-private forum for dialogue with the private sector and implementation of the proposed strategy is critical to its success, to ensure that positive intentions and policy pronouncements are translated into concrete actions "on the ground."

55. Finally, the role of donors and other stakeholders is critical to the success of the initiative. Donors need to provide financial and technical assistance to support strategy implementation, but in an integrated manner. NGOs are an important component of the outreach and consultation effort aimed at civil society that underlies implementation of the strategy.

CHAPTER 3—IMPROVING THE TRADE POLICY REGIME AND MARKET ACCESS

3.1 Introduction

Azerbaijan's trade regime has liberalized, but progress has been slow and halting in certain respects

56. With the abolition of the state monopoly over foreign trade and liberalization of prices in 1997, trade policy became a meaningful tool for trade development in Azerbaijan. Azerbaijan applied for WTO membership in 1997. In the same year, a two-band tariff structure was introduced and the average tariff rate fell to 4 percent in 1998 (from 60 percent in 1996). Azerbaijan's openness to trade increased substantially between 1995 and 2001, as measured by the ratio of total trade to GDP, from 50 to 66 percent. In some respects, however, liberalization of Azerbaijan's trade policy regime has progressed slowly over the intervening years and has even suffered some setbacks. Until recently, for example, Azerbaijan's formal efforts to accede to the WTO have proceeded extremely slowly.

57. The composition and direction of Azerbaijan's trade can be linked, largely, to the existing trade policy regime, including import tariff barriers and Azerbaijan's participation in multilateral trade agreements, such as the WTO and preferential trade agreements with the EU and CIS. Improving Azerbaijan's trade policy regime, including market access agreements, can contribute to trade development and, more importantly, economic diversification through the development of the non-oil sectors.

3.2 Improving Import Trade Policies

Azerbaijan has a liberal and open trade regime with low tariff rates with little dispersion

58. Azerbaijan has a liberal and open trade regime in comparison to countries at a similar level of GDP per capita. However, there has been a reversal, albeit not a large one, in tariff liberalization in Azerbaijan since 1996[18]. While the maximum tariff rate of 60 percent in 1996 was slashed to 15 percent in 1997, and a two band structure introduced, this was expanded to four bands (with the same maximum 15 percent rate), and then subsequently to a six-band tariff schedule with the maximum rate of 25 percent (applied only one product). Moreover, while between 2000 and 2002 the overall tariff level slightly decreased, the dispersion in tariff rates appears to have increased. Overall, these reforms have decreased the weighted average tariff from 7.3 percent in 1999 to a reported 6.5 percent today.

However, tariff policies inadvertently expand opportunities for corruption

59. Despite the low average tariff levels and limited dispersion, Azerbaijan's tariff policies inadvertently expand opportunities for corruption in three ways. First, Customs have significant discretion in classifying products within the same six-digit groups (i.e., relatively similar items).[19] Second, the practice of tariff and VAT exemptions also offers

[18] Please review the tariff analysis presented in Annex D contained in Volume II of this report.
[19] Note that the HS international specification covers first six digits, whereas the remaining 2-3 digits can be defined by national authorities Azerbaijan uses the first six digits in accordance with

opportunities to misclassify goods at customs clearance, although on a much smaller scale. Not all products belonging to two-digit HS groups (84, 85, 86, 87, 88, 89) are exempt from VAT. Last but not least, the entry into force of several free trade agreements create extra opportunity to fraudulent behavior related to 'misreading' of the origin of a shipment, i.e., classifying as one coming from a preferential, free-trade partner.

60. Together with the strengthening of the Customs Committee's operations, the Government is addressing the problem of under invoicing of selected goods by replacing ad valorem tariffs on these commodities with specific tariffs, a process that is expected to be completed by 2004. These specific tariffs have been set at levels designed to be consistent with maintaining a maximum ad valorem tariff of 15 percent, with the exception of synthetic carpets, cigarettes and alcohol, and the changes in the tariff applied to products other than synthetic carpets is minor. The Customs Committee began publishing monthly reports on imports and customs revenue, by tariff band, as well as excise collections by product, in May 2001. Tariffs account for a decreasing share of government revenues, falling from about 9.6 percent in 1999 to 5.7 percent in 2002.

61. There are two key recommendations in terms of trade policies. First, there should be a shift towards a uniform tariff rate even slightly exceeding the current weighted average tariff rate. Introducing a uniform tariff rate would expand the "tariff base" and increase customs revenue. It would also push private interests to focus on productive activities rather than lobbying the government, remove incentive to misclassify products, and reduce smuggling, which result in lower budget revenues and business-unfriendly environment. Furthermore, it could contribute to the acceleration in the WTO accession process.

62. Second, the capacity of the Tariff Council should be strengthened. The Tariff Council was created in 2002, with its Secretariat at the MED, to provide a transparent mechanism for recommendations on tariffs and other customs charges (as well as the regulation of state monopolies). The Tariff Council may request information from State agencies and invite experts or representatives from the local or international business community to participate. The Tariff Council has the potential to be an important, unbiased source on tariff reform, and therefore resist the demands of special interests. The capacity of the Council to undertake objective economic analysis should be upgraded to provide a sustainable source of tariff policy analysis and recommendations.

3.3 Accelerating WTO Accession

WTO membership will offer Azerbaijan MFN access to world markets and an economically sound framework for trade policy...

63. Azerbaijan took the important first step toward full integration with the global economy with its application to the WTO in 1997. WTO membership will offer Azerbaijan a number of important benefits. Accession to the WTO increases chances for export diversification by opening new markets. Azerbaijan would be offered a minimum of Most Favored Nation (MFN) status and would protect its producers against undertakings by other countries to restrain access to their markets. Moreover, accession can provide a number of benefits, including an economically sound framework for structuring trade policy that helps lock in liberal reforms and the reduction in the

HS, the next two digits in accordance with the combined used in the Council of Europe, and the last digit takes into account Azerbaijan's preferences.

potential for state capture by narrow interest groups seeking to protect their markets. Accession also facilitates the introduction of "best practice" standards and practices that can boost Azeri competitiveness and attract FDI.

The benefits of accession are likely to more than outweigh direct and indirect costs

64. The costs of accession to the Azeri economy are not expected to be substantial. Direct costs of accession result from meeting WTO transparency and information disclosure requirements—the need to establish a unit in the MED to monitor trade policy and meet WTO notification requirements, as well as enquiry points for technical regulations and sanitary and phytosanitary standards. The other costs of accession will result from efforts to comply with customs valuation, technical regulations, SPS and TRIPs requirements. WTO accession will also have a mixed impact on Azeri agriculture, which can be managed in the accession process. But there is little doubt that the costs of accession are likely to be more than offset by economic gains—the Azeri foreign trade regime is already liberal and additional adjustments are relatively small and additional administrative costs to meet WTO requirements are relatively low.

Table 3.1—WTO Accession Progress (as of Nov. 2002)

	Description	Dates
1	**Application Received**	June 1997
2	**Working Party Established**	July 1997
3	**Memorandum**	April 1999
4	**Questions and Replies**	July 2000
5	**Meetings of the Working Party**	None
6	**Documentation (other)**	
	(a) Additional Questions & Replies	December 2001
	(b) Agriculture (WT/ACC/4)	None
	(c) Services (WT/ACC/5)	None
	(d) SPS/TBT (WT/ACC/8)	None
	(e) TRIPS (WT/ACC/9)	None
	(f) Legislative Action Plan	June 2002
7	**Negotiations on Goods**	None
	(a) Tariff Offers	None
	(b) Draft Goods Schedule	None
8	**Negotiations on Services**	None
	Draft Services Schedule	None
9	**Factual Summary**	None
10	**Draft Working Party Report**	None

Source: World Trade Organization.

But Azerbaijan has progressed slowly toward WTO accession

65. To date, however, progress has been slow (Table 3.1). The first meeting of a Working Party took place only in June 2002—five years after the Working Party was established. The Government is presently engaged in responding to questions posed by the Working Party on the trade policy regime. It has not yet submitted an initial offer on goods and engaged in bilateral discussions. In large measure, it is because the Government has been unable to develop credible answers to the queries posed by the Working Party.

The underlying economic choices being made in the accession process must be fully considered

66. With the assistance of the US TDA technical assistance activity, the Government has the opportunity to accelerate its accession efforts. The technical assistance advisers will assist across the full range of WTO accession issues, including bringing Azerbaijan's legislation into compliance with the various WTO agreements. Undoubtedly, the most important initial priority is to facilitate the preparation of reliable and credible answers to queries raised by Working Party members and to enter into negotiations with interested parties on a bilateral basis. This is the stated purpose of the TDA assistance.

67. At the same time, it is important for the Government to fully consider the underlying economic choices shaping the positions adopted in the negotiating process. Much too often, some countries—including several transition economies—have rushed

through the accession process, and have subsequently attempted to renegotiate their commitments. Our analysis suggests that some of the most important issues that Azerbaijan will have to consider in the accession process are the following aspects.

68. **Seek developing country status**. Azerbaijan can choose to be treated as a developing country[20] under the WTO framework, thereby obtaining so-called "special and differential treatment." These privileges include as extended implementation periods to comply with WTO mandates, certain flexibility in the application of rules, etc. These privileges can be important assets in ensuring the smooth implementation of WTO commitments.

69. **Improving customs valuation practices**. The rules of the WTO Customs Valuation Agreement require that members levy customs duties on an imported good's transaction value rather than on some reference price constructed by the government. Azerbaijan's customs rules have not been in full concordance with that Agreement as revealed in the comments and questions of the WTO Working Party. The major issues raised concerned additions to transaction value, methods of applying deductive value, valuation using reasonable means, currency conversion, confidential information, the right of appeal, and definitions of some terms. Those that have not yet been addressed need to be reviewed and brought into compliance. In parallel, efforts to enhance the technology and capabilities of the SCC need to be implemented. Specifically, streamlining the administrative environment and reducing excessive "red tape" would bring tangible benefits to both the government (higher customs revenue) and consumers (lower prices of imports).

Azerbaijan must adopt international standards to expand exports to leading markets

70. **Reducing technical barriers to trade**. The Technical Barriers to Trade (TBT) and Sanitary and Phytosanitary (SPS) Agreements require non-discrimination in applying technical regulations and sanitary and phytosanitary standards to imports, avoidance of trade-restrictive mandatory technical regulations, non-discrimination in conformity assessment procedures, and the establishment of a national enquiry point. It also encourages members to join and use international systems for conformity assessments and encourages the negotiation of mutual recognition agreements (MRAs). Azerbaijan has already brought its trade policy framework close to full compliance, with the exception of the establishment of a national enquiry point. Azerbaijan has also signed MRAs with CIS countries and Bulgaria.

71. However, a number of urgent issues need to be addressed to ensure that local producers can meet the public and private standards for entry into overseas markets. One of the most important of these is to complete the shift from the previous, mandatory GOST standards to internationally recognized voluntary standards. GOST standards remain common in Azerbaijan. While, certificates of conformity and quality issued by Azerbaijan are honored in all CIS countries, only Turkey, Slovakia, Estonia, Latvia and Lithuania honor Azeri standards outside the CIS.[21]Another issue is the lack of adequate laboratory and testing facilities to assist in the greater use of international standards for

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[20] Neither the GATT 1947 nor the WTO agreements set criteria for "developing country" status. Whether a country is considered "developing" depends on a unilateral decision of the country granting tariff preferences under the GSP (US approach), or on membership in the Group of 77 (EU approach) or on a self-selection for other WTO purposes.

[21] However, mutual recognition of standards and conformity assessment among the CIS countries often do not apply to most agricultural products.

food safety, animal and plant health. Existing private labs are not properly accredited, and state-run facilities are inadequate.[22]

Attention must also be focused on the private standards which are increasingly important in market access

72. More attention needs to be paid to private, voluntary product standards that are playing an increasingly import role in access to export markets. Little progress has been made, for example, in the adoption of ISO standards. Despite the fact that Azerbaijan has been a corresponding member of the ISO since 1998, a relatively few number of firms have been certified as complying with ISO 9000 standards to date, particularly outside the oil- and gas-related sector. There are currently only very few accredited units certified to issue certificates for meeting ISO 9000 standards on quality or ISO 14000 series on the environment.

73. The importance of standards and technical regulations goes beyond WTO accession. Product standards are an essential component of any economy seeking integration into global markets. As a small country, Azerbaijan should not invest too much effort in developing its own standards. The best policy option is to follow international practice and accept standards and certificates issued by recognized international and national bodies. In fact, harmonization of national with international standards is essential to participation in international supply chains cutting across national borders, as common standards reinforce linkages between component manufacturers, assembly operations, and distributors in the final product markets.

74. The development of organizational capacities to encourage improvements in the quality of domestically produced goods through issuance of certificates of meeting international standards would be a good investment. In other countries, business associations have begun to provide quality assurance consulting and certification as one of their fee-based services to members (Box 3.1).

Protecting intellectual property rights is critical for the development of value-added industries

75. **Improve enforcement of intellectual property rights.** The WTO Agreement on Trade Related Intellectual Property Rights (TRIPS) has been particularly controversial from the point of

Box 3.1—Building ISO Competence through Business Associations

As developing country producers find tariff barriers falling in leading export markets, the inability to meet international product and quality standards continues to impede the ability of most domestic producers to effectively compete in world markets. ISO standards, for example, are recognized by close to 160 countries worldwide—only by meeting such standards can domestic producers in Azerbaijan effectively compete in world markets.

In **Russia**, the Volgograd Chamber of Commerce and Industry was the first of many business associations in Russia to offer quality assurance consulting services, providing a model for other local chambers. The Chamber offers its consulting services on a fee basis, with discounts for member companies. The Chamber does not, itself, provide certification, but instead provides training to technical management on ISO and other quality assurance programs. On-site courses in quality assurance are conducted on the premises of participating companies. Chamber quality assurance trainers work directly with company management to review and revamp existing management systems. Throughout the duration of the training program, the chamber works with corporate management and technical experts to identify appropriate international or domestic certifying agencies and to design a strategy for applying for certification.

[22] Assistance in enhancing standards and technical regulations can be obtained from the recently established Standards and Trade Development Facility of the World Bank, in cooperation with the WTO and other partners.

view of benefits to developing countries. In contrast to the WTO Agreements discussed above, its implementation involves significant adjustments and costs and does not offer quick returns. However, intellectual property rights (IPRs) are crucial for the development of high value-added, knowledge-intensive industries. In contrast to many least developed WTO members, Azerbaijan has already in place much of the legal structure for protecting intellectual property rights and is already a member of the major international conventions and organizations promoting IPRs. Where Azerbaijan still falls short is in the area of monitoring and enforcement—improvements here will be essential to providing an environment where intellectual property is truly protected.

Developing an appropriate negotiating strategy for WTO accession will be critical to ensuring food security and the growth of the agriculture and agro-processing sectors

76. **Develop agriculture trade strategy**. Azerbaijan's agricultural sector accounts for a substantial proportion of the economy—in 2001 agriculture accounted for 22 percent of GDP and 37 percent of employment. However, agricultural products account for a mere 3.5 percent of exports and comprise primarily unprocessed goods. Azerbaijan remains a net importer of agricultural products, importing more than 70 percent of its domestic consumption requirements. As such, Azerbaijan has a particular interest in both expanding its agricultural export base, particularly value-added processed goods, and in ensuring food security through the importation of cheap foodstuffs from abroad. Developing an appropriate negotiating strategy for WTO accession will be critical to ensuring food security and the growth of the agriculture and agro processing sectors. These twin objectives must also be aligned with WTO Agreement on Agriculture, which seeks increased market access for agriculture products through the tariffication of non-tariff barriers and reductions in subsidies and other support measures. Any policy measures designed to encourage increased agricultural production (of raw or processed goods), either for home consumption or export, must be carefully crafted to be compatible with WTO rules regarding subsidies, which restricts measures that distort trade or production.

77. **Develop a single legislative package.** Given the wide range of legal issues that may need to be addressed in the context of Azerbaijan's WTO accession, it is recommended that a single, "take-it-or-leave-it" legal package be developed, rather than piecemeal changes to various acts, as the latter approach risks significant delays in pushing the legislation through Parliament.

78. **Improving transparency and information disclosure.** Assuring transparency and disclosure of information on conditions of conducting foreign trade operations is an important component and is mandated by the WTO. Azerbaijan must set up a unit responsible for keeping information and monitoring trade policy and in charge of future WTO notification requirements, as well as enquiry points providing information on TBT, SPS, and conformity assessment procedures.

Parallel measures are needed to ensure that accession gains are realized

79. While WTO accession and implementation can bring substantial benefits to Azerbaijan, accession in itself will not ensure that these gains are realized. As presented elsewhere in this paper, a variety of other, parallel measures are needed to ensure that accession promotes economic growth, efficiency and poverty reduction. These include a broad and sustained program of trade capacity building, not just of trade officials but also of top government leadership, other ministries, the business community and other stakeholders (academia, think tanks, NGOs and civil society).

3.4 Enhancing Preferential Market Access

Azerbaijan has preferential access to EU and CIS markets...

80. While WTO membership will provide Azerbaijan with a minimum MFN access to world markets, Azerbaijan currently benefits from preferential trade access to two of its most important markets: the European Union (EU) and CIS countries, including Russia. Both these markets provide Azerbaijan with important opportunities to diversify its economic base through exports.

But non-oil exports are highly concentrated on a narrow range of products

81. Azerbaijan's non-oil exports to its main overseas markets are highly concentrated on a very narrow range of products. For example, in 2001 Azerbaijan exported only 285 products (defined at HS 6-digit level) to the EU, which comprised only five percent of the available 5,326 product categories. By way of comparison, in 2001, Slovakian exports to the EU were recorded in 3,287 or 62 percent of the available product categories. Although exports of non-oil products to Russia were three times greater than exports to the EU, the number of product categories in exports to the EU was higher. In 2001, Azerbaijan exported products in only 4.7 percent of available categories to Russia. It is interesting to note that, in aggregate, exports to all regions cover 19.5 percent of all product categories. This indicates considerable scope for expanding and diversifying exports to the EU and CIS. However, various provisions of the agreements themselves, and the administrative systems that are charged with implementing them, have reduced the potential benefits to Azerbaijan.

Utilization is very low—only 25% of Azeri exports eligible under GSP preferences actually entered the EU

82. Preferential access to the EU, in particular, which offers a large, sophisticated market, provides Azerbaijan with the opportunity to export higher value-added, differentiated products. Azerbaijan's non-oil exports are eligible for substantial benefits under the GSP scheme of the EU. The GSP is a scheme that allows for duty reductions on certain products from particular countries, including Azerbaijan. A revised scheme was introduced in January 2002 that will apply until the end of December 2004. There are only two categories of products: non-sensitive, for which duties are suspended, and sensitive, for which duties are reduced by 3.5 percentage points below the MFN rate. Certain agricultural and fishery products are, however, excluded. There appears to be significant scope for Azerbaijan to benefit from the scheme—at present 66 percent of Azerbaijan's non-oil exports to the EU are eligible for preferential treatment. However, only one quarter of these preferences are being utilized.

Table 3.2—Basic Characteristics of Azerbaijan's Export to the EU under GSP

Total Exports to EU ('000 Euro)	1,103,947
Total Exports to EU excl. zero-duty oil products ('000 Euro)	52,952
Exports Eligible for GSP ('000 Euro)	34,907
Share of GSP Exports in Total Exports to the EU (%)	3.16
Share of GSP Exports in Total Exports to the EU, excluding zero-duty oil products (%)	65.92
Exports Granted GSP ('000 Euro)	8,465
Share of Exports Granted GSP to Exports Eligible for GSP (%)	24.25
Implicit Transfer under the GSP ('000 Euro)	236
Potential Transfer under GSP ('000 Euro)	1,739
Ratio of Actual to Potential Transfer (%)	13.60

83. Key strategies to improve access to the EU under the GSP include:

Improving access to information can increase utilization of EU GSP preferences

- **Improving public awareness.** Initial consultations with exporters in Azerbaijan suggest several factors, related to the documentary requirements of the GSP, contribute to the low utilization of preferences. In particular, there is a low level of knowledge about the GSP and its documentary requirements among Azeri exporters, as well as EU-based importers. Improving public awareness in both markets will be required to improve utilization and increase market shares.

- **Removing administrative constraints.** Perhaps more important, however, are the administrative constraints involved in obtaining the required certificate of origin. The Consumer Goods Certification Center under the MED is given the authority to issue the certificate. Charges for issuing the certificate are determined by the Center and the exporter on a contractual basis. No set charges are fixed by the Government, opening the door to bureaucratic discretion. The fact that certificates are issued only by the Ministry in Baku may entail a significant additional cost on small enterprises which could benefit from the scheme but which are not located in the vicinity of Baku. Addressing these administrative constraints can encourage more exporters to take advantage of the GSP.

- **Working with partners for improved access.** Another potential issue is the rules of origin requirement. Evidence suggests that the low utilization rate tends to be sector specific—preferences are heavily utilized in the chemicals and plastics sectors, but not in sectors such as textiles, clothing and footwear and basic metals. There are two elements to the constraining impact of rules of origin. First, there is the nature of the rules themselves, which can be very difficult to meet whilst remaining competitive on the EU market. Rules of origin that force producers to source inputs from expensive domestic or EU sources can undermine the preferences that are being offered. Second, there is the issue of the costs of providing the necessary documentation to prove origin. If these exceed the margin of preference, then the GSP is redundant. Ascertaining the importance of these different factors in Azerbaijan would be useful. If there are particular difficulties in obtaining the required official certification of origin statements then this could be dealt with in a relatively simple and straightforward way. If it is the nature of the rules of origin that are problematic then it would require discussing with the EU the possibility of regional cumulation amongst the CIS countries (or a sub-set of those countries).

Azerbaijan should work with other countries with access to the EU to broaden the potential gains

84. Lastly, EU enlargement will provide Azerbaijan with both new opportunities and threats. For manufactured products, the impact of trade policy changes following enlargement will tend to be positive for CIS countries, including Azerbaijan. There will be no change in market access to the current EU market since all tariff and non-tariff barriers on imports from the candidate countries have already been removed. Enlargement will actually improve Azerbaijan's market access, as tariffs in the largest markets, Poland and Hungary, will decline as these countries implement the common external tariff and adopt the EU's GSP. In the case of agricultural products, however, relative market access conditions may considerably worsen and there may be substantial trade diversion away from agricultural exporting CIS countries as the new member countries, especially Poland, are given substantial preferences in the EU. High duties in the EU on processed agricultural products and substantial preferences towards competing suppliers in the Central and Eastern European countries is likely to be a major constraint upon the expansion of exports of existing products and diversification into a wider range

of processed agricultural products in Azerbaijan. This is an issue that Azerbaijan should raise in its bilateral discussions with the EU, when considering the extension of the GSP scheme after 2004, to classify a larger number of processed agricultural products as non-sensitive under the GSP and therefore eligible for zero duties.

Azerbaijan's FTAs with CIS provide favorable provisions for expanding trade in the region...

85. **In addition to preferential treatment in the EU, Azerbaijan benefits from free trade access to a number of its regional trading partners.** Plans to establish a CIS free trade area were initiated in 1992. However, the two multilateral free trade agreements among the CIS countries—signed in 1992 and 1994—have not been ratified by the Russian parliament and therefore have not been implemented. Over the last decade, these agreements have been supplemented by a web of bilateral free trade agreements among the CIS members. Azerbaijan has four free trade agreements in effect, with Russia, Ukraine, Georgia, and Kazakhstan, and three more free trade agreements are signed but awaiting ratification, with Uzbekistan, Moldova, and Turkmenistan.

86. The texts of the signed free trade agreements are similar. The agreements stipulate duty-free trade in all goods, with unspecified potential exclusions, and free transit of goods through the signatories' territories. Moreover, the rules of origin allow for full cumulation amongst all 12 CIS countries, not just those countries with whom Azerbaijan has signed a free trade agreement, thereby making is easier to meet the entry criteria.

87. However, the agreements suffer from several weaknesses that, if re-negotiated, could provide more favorable access for Azerbaijani exports to these markets:

Re-negotiating selected restrictions will widen the scope for regional trade

- **Limit the scope of exclusions.** The value of these agreements is weakened by potential exclusions, which can be introduced unilaterally and changed from year to year. This leaves considerable scope for the parties to restrict trade and creates a degree of uncertainty concerning future market access. At present, the exclusions cover only a small percentage of intra-CIS trade but the agreements do not guarantee that this situation will persist. Limiting the scope for such exclusions will create a more stable environment for exporters.

- **Remove provisions limiting benefits to tax residents.** According to the rules of origin, exports subject to duty-free treatment must be conducted by tax residents in the free trade area. This is important for it implies that exports of some foreign-owned companies can be denied duty-free treatment. Removing such provisions can increase the scope for Azeri exports to benefit from the agreements.

3.5 High Priority Actions to Improve Trade Policy and Market Access

88. The following table provides a list of high priority actions in support of the strategy recommendations on trade policy and market access. A complete list of actions is provided in tables 7.2 to 7.5 in chapter 7.

Table 3.3—High Priority Actions for Improving Trade Policy and Market Access

Proposed Measure/Action	Proposed Timeframe	Responsible Bodies
Tariff Reform		
Enhance tariff policies • Reduce levels of dispersion in current tariff schedule • Shift toward adoption of a uniform tariff rate	2003-2005	MED, Tariff Council
Strengthen the capabilities of the Tariff Council	2003-2005	MED, Tariff Council
WTO Accession		
Complete Working Party negotiations and prepare offer on Goods	2003-2004	MED
Enhance compliance with TBT and SPS • Revise technical regulations and standards policies to international standards, join Codex Alimentarius • Promote local capabilities to provide ISO certification • Upgrade capabilities of the SSMA • Establish TBT and SPS enquiry points	2004-2005+	MED, SSMA, MOA, SVC, SCC, AZPLAC, business associations
Enhance customs valuation practices • Revise laws, regulations, instructions to comply with WTO valuation method • Build Customs administrative capacity (see 4.2)	2003-2004	SCC
Ensure compliance with TRIPS • Revise existing laws or prepare new WTO compliant legislation • Build capacity of relevant agencies	2004-2005+	MED, SSMA
Develop agriculture sector trade policy • Prepare agriculture sector development strategy • Analyze impacts of WTO accession and develop position including Aggregate Measure of Support	2003-2004	MOA, MED
Regional Trade		
Increase utilization of EU GSP Scheme • Improve public awareness • Streamline administrative procedures • Enter into discussions with other beneficiaries to revise treatment of processed agricultural products	2003-2004	MED
Re-negotiate CIS FTAs • Define and limit exclusions • Clarify provision limiting benefits to tax residents of FTA areas	2004	MED

AZPLAC: Azerbaijan Policy and Legal Advice Centre
MED: Ministry of Economic Development
MOA: Ministry of Agriculture
SCC: State Customs Committee
SSMA: State Standards and Metrology Agency
SVC: State Veterinary Committee

CHAPTER 4—ENHANCING TRADE AND TRANSPORT FACILITATION

1.1 Introduction

89. Trade liberalization revealed the need for second-generation reforms in Azerbaijan that will address the wide variety of non-tariff trade barriers, such as improper customs and transit procedures, and shifted the attention to the facilitation of trade.

Azerbaijan's strategic location makes it a key transport link between Europe and Central Asia

90. The physical location of Azerbaijan makes it a key transport link and corridor on the shortest land route between the Caspian Sea and the Black Sea, and between the Caucasus and Central Asian countries. Azerbaijan has been an active participant in the TRACECA initiative (Transport Corridor in Europe, Caucasus and Central Asia), aiming at stimulating transit in the region since 1993. However, the multiple borders transporters have to cross to reach Central Asia through the Caucasus and the number of times cargoes need to be handled with the associated payments and delays explain to some extent the low volume of non-oil transit to date. The impacts of impediments to trade and transport are both direct and indirect. They increase the costs of inputs for domestic production. They also limit the ability of Azerbaijan to become a natural center for transit cargo and value-added shipments for the Caucasus and Central Asia.

The TRACECA corridor offers substantial economic opportunities...

91. While transit through Azerbaijan is currently limited, particularly in non-oil products, the potential for increased transit to/from Central Asia is significant. Oil-rich countries like Kazakhstan and Azerbaijan are bound to grow fast over the next decade, to import equipment to develop their local SMMEs, and, presumably, to create significant consumer markets locally and regionally, beyond the oil and gas sectors and related supply chains. Among potential transit cargoes for the TRACECA Corridor, six types stand out: (i) equipment for the oil industry; (ii) humanitarian support and reconstruction material to Afghanistan; (iii) containerized consumer goods to oil exporting countries; (iv) containerized equipment required to sustain SMME-led growth in the Caucasus and Central Asia; (v) cotton exports from Uzbekistan and Turkmenistan; and (vi) more oil and gas from the Caspian Sea. All six types offer significant opportunities for Azerbaijan, but also face significant competition from alternative corridors. Therefore, facilitating trade and transport is critical to creating an environment that promotes sustainable development of the non-oil sectors. Improvement in customs and transit operations and in transportation and trade infrastructure can contribute substantially to: (1) reduction of logistical costs and increasing the competitiveness of SMMEs in Azerbaijan; (2) attraction of additional transit traffic and related economic activities; (3) creation of a level playing field for all companies in Azerbaijan; and (4) an increase in revenue collection.

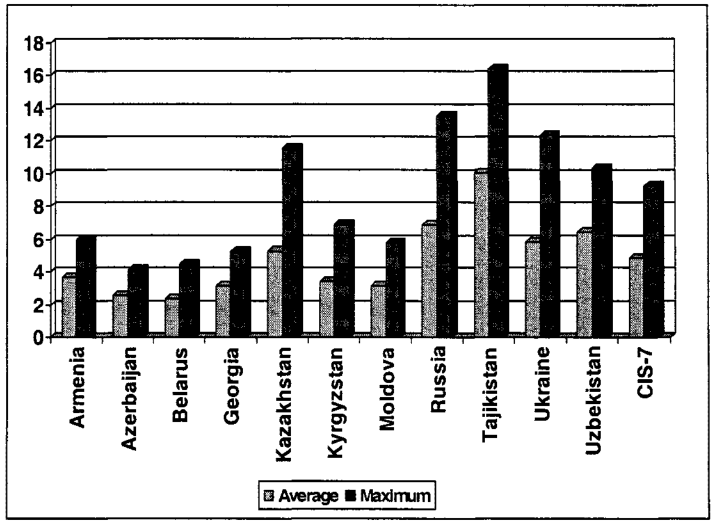
Realizing these opportunities will require substantial improvements in customs and transit operations to facilitate trade

1.2 Improving Customs and Transit Operations

92. The flow of potential transit in the upcoming ten years is considerable, but requires a different set of services than currently provided for the movement of liquid bulk or scrap metal. The potential transit of consumer goods, machinery, and equipment to Central Asia demands high quality logistic services at reasonable cost, allowing no damage to the goods transported and no unexpected delays.

93. The Government of Azerbaijan has already made important progress in improving customs and transit operations. The EU-funded TRACECA program to support the development of the Europe-Caucasus-Asia Transport Corridor has developed a number of policies, programs, and initiatives to facilitate border operations in Azerbaijan and the region. These efforts have already had a positive impact on transit and customs operations in Azerbaijan, which currently rate among the least cumbersome in the region (see figure 4.1).

Figure 4.1—Customs Delays, Number of Days



Source: EBRD and World Bank, Business Environment and Enterprise Performance Survey, 2002.

94. While progress has been achieved, additional efforts are required to eliminate the remaining barriers to trade in Azerbaijan, particularly in the area of customs policies and practices. In 2002, a comprehensive, IMF-supervised review of SCC operations was undertaken by PriceWaterhouseCoopers (PWC) in 2002. The SCC has implemented a number of actions in response to the PWC recommendations. These are summarized in Table 4.1.

Table 4.1—PWC Customs Reform Recommendations and Actions Taken

Reform Recommendations	Actions Taken
Customs Law & Regulations	**Customs Law & Regulations**
1. Lack of full compliance with new Kyoto Convention	1. Effort to join Kyoto Convention underway; proposal given to Cabinet of Ministers end 2002
2. Absence of bonds and guarantee system	2. Dates for payment using bonds and guarantees extended to facilitate use of guarantee system
3. High personal allowance for travelers encouraging suitcase trading	
4. Absence of guarantees from Customs brokers	
5. Restricted legal authority of Customs regarding post-importation control of trade intermediaries	
6. Duplicated description of Customs offences and sanctions in the Administrative Code and the Customs Code (with some differences)	
7. Absence of provisions in the Code to deal with any case of bribery and corruption for customs officials	7. Addressed by Regulation on services (7 December 1999) and Resolution 02/01 of SCC Board dated 15 May 2001
8. Ambiguous statements in Customs code (e.g., unspecified processing timeframes and documentation requirements, customs charges stipulated in different normative acts)	

Customs Operations and Structure	**Customs Operations and Structure**
1. Introduction of an advance declaration system to allow for pre-clearance of goods	1. Pilot project underway on automated customs declaration processing
2. Use of minimum prices or value for valuation	2. Minimum reference prices not being used; price data base being built with UNDP help
3. Traders' entitlement to clear imported goods at any clearance facilities in the country, based on their business needs	
4. Simplified procedures for consolidated shipments, which are typically used by SMMEs	
5. Enhance transit management procedures	
6. Alignment of working hours with traffic flows, consistent across border agencies and across borders	
7. Introduction of qualitative criteria for Customs broker licensing	7. Course for merit-based certification of brokers operational
8. Definition of selective controls and post-entry verification mechanisms	
9. Introduction of mobile enforcement units	
10. Improve human resource capabilities	
11. Update SCC organizational structure; clarify and coordinate roles and responsibilities of border agencies	11. Training programs undertaken at SCC educational center; WCO regional training center being established in Baku
Customs Automation/Transit Management	**Customs Automation/Transit Management**
1. Installation of an internationally standard comprehensive customs automation system	1. Custom-built automation system (GRNAS) being developed; to be installed in several customs points
2. Enhance SCC role in transit management by coordinating role of government agencies in line with the Geneva Convention	
Private Sector Dialogue	**Private Sector Dialogue**
1. Establish mechanisms to facilitate dialogue and policy consultation between SCC and other agencies involved in border security, trade and transport and private sector	1. TRACECA and AZERPRO Committees established; integration underway

The SCC has already made progress in responding to the proposed recommendations. In particular, according to SCC officials, Azerbaijan is committed to joining the revised Kyoto Convention, and revising the customs code and practices in response. The main remaining Customs reforms to be undertaken include:

Key strategies to facilitate trade include streamlined and computerized customs operations, and improved transit management and services

- **Revision of the Customs law and regulations.** In general, the Customs Code complies with the revised Kyoto Convention. The SCC has initiated efforts to accede to the new Kyoto Convention and submitted a proposal to that effect to the Cabinet of Ministers late last year. But the current customs law is weakened by several provisions including: limited legal authority of Customs regarding post-importation control of trade intermediaries; duplication in terms Customs offences and sanctions in the Administrative Code and the Customs Code; etc. Moreover, from a trade facilitation perspective, a number of ambiguous statements in the Customs Code offer the opportunity for rent-seeking behavior. This applies to unspecified processing timeframes and documentation requirements, and customs charges that are stipulated in separate normative acts. In addition, the current policy granting a high duty-free personal allowance for travelers is encouraging "suitcase trading" and needs to be reduced urgently.

- **Streamlining and strengthening of customs operations.** While the government has implemented a number of actions to improve customs operations and practices, further actions are required, including implementation of an advance declaration system to allow for pre-clearance of goods;[23] traders' entitlement to clear imported goods at any clearance facilities in the country, based on their business needs; and simplified procedures for consolidated shipments, which are typically used by SMMEs. One of the most important areas for improvement is enforcement activity. The SCC should implement a comprehensive approach to improve enforcement capabilities on a selective basis, including new procedures to fight corruption and illegal trade; introduction of mobile enforcement units; upgrading capabilities of importers and customs brokers[24]; a voluntary compliance program and the implementation of a risk management approach to inspection, which can be implemented effectively even without customs automation.

- **Improvement of transit management and services**. Another area for improvement is transit management—the GOA must work to establish an efficient, cross-border integrated transit chain. In addition to its present duties, the SCC will carry as a major responsibility the coordination of all government agencies involved in transit to ensure the strict fulfillment of transit conditions in line with the Geneva Convention. The SCC would benefit from wide cross-designation and delegation to address other agencies' requirements. Its duty would start from the time the vessel berths at a port or the time a trucks crosses the border, until the time it leaves the country (and vice versa). The SCC must also work with its neighbors to minimize delays at borders, by engaging in cross-border exchanges; establish pre-clearance facilities at ports of entry in Georgia; and align working hours with traffic flows, consistent across border agencies and across borders.[25]

- **Implementation of a Customs Automation System.** Critical to implementing these procedural changes is the comprehensive computerization and automation of customs operations. Existing systems are essentially paper-based and do not provide the needed support to facilitate clearance, control transit and related bonds and guarantees, or perform targeting and selectivity functions using intelligence and databases. The SCC is in the process of developing a custom-built system (GRNAS), which will be implemented in a number of locations on a pilot basis. However, international experience suggests that this is a much less desirable approach than installing an internationally accepted system such as ASYCUDA which is in use by some 80 percent of developing and transition economies including most of Azerbaijan's neighbors.

- **Enhance human resource development.** The success of the SCC in carrying out its mandate is inextricably linked to the skills and expertise of its staff. The PWC study outlined a broad program for developing the SCC's human resources and management systems. The recommendations are aimed at creating a fair and stimulating work environment, increasing accountability for performance, and

[23] The SCC is about to implement the advance processing of customs declarations in select locations.
[24] The SCC has developed and is implementing a merit-based course for certification of customs brokers.
[25] SCC states that internationally accepted norms permit the alignment of Customs' working hours with traffic volumes at individual customs border posts.

combating corrupt practices.[26] The implementation of this organization reform plan will be essential to enhancing the organization's ability to facilitate trade.

- **Improve private-public dialogue.** The border agencies in Azerbaijan, particularly the SCC, have made progress in interacting with the private sector and in informing companies about new procedures and requirements. A systematic dialogue across agencies and across private stakeholders (freight forwarders, road transport companies, etc.) started in the spring 2002 as part of this effort, through the creation of AZERPRO, a Trade and Transport Facilitation Committee. Its overall objective is to improve the dialogue between the different bodies involved in trade and international transport, to define solutions to remove impediments to consignment movements at an operational level, to support the implementation of these solutions, and hence to achieve significant reductions in the costs of clearance, transit or border crossing. This continuous process of monitoring and feedback, supported by *ad hoc* working groups, is intended to maintain the focus on revamped services. However, it is clear that AZERPRO should be merged with TRACECA's Azerbaijan commission, and there have been moves to that end.

1.3 Upgrading Transportation and Trade Infrastructure

95. The transport sector in Azerbaijan still operates without proper separation between (i) policy and legal framework; (ii) regulatory functions; and (iii) operation and ownership. This applies particularly to air (AZAL), maritime (Caspian Shipping Company), and rail transport. As a result, Azerbaijan has experienced difficulties in defining a coherent national and international transport infrastructure network. By controlling all legal and regulatory aspects and infrastructure, state-owned operators have a *de facto* monopoly on their market and can restrict competition as they see fit. The lack of competition removes the most essential incentive to improve service quality and cost. The high shipping cost across the Caspian Sea and the high level of profitability of the Azeri Railways demonstrate this phenomenon. Meeting the infrastructure needs of a growing trade sector will require:

Azerbaijan's transport sector must be rationalized and modernized to reduce transport costs and improve the quality of infrastructure and services

- **Development of a comprehensive transport sector strategy.** The recent creation of a Transport Ministry to cover all transport modes should prove a powerful asset to define a balanced policy across all modes, with a strong emphasis on strengthened competition and transparency. The role of the State is likely to change considerably by implication. The State would cease to be a transport operator or a provider of transport services, but would create the institutional framework to support growth through policies, regulation, and consultation with the private sector. While the Transport Ministry would define the overall transport policy, the subordinated administrations and authorities in the respective modes would manage the implementation of regulations and legislation under the Transport Ministry's authority. Companies like AZAL, the Azerbaijani Railways, and the Caspian Shipping Company would re-focus on operations instead of regulation. The definition of a detailed restructuring strategy is a complex exercise due to the variety of interested parties—developing and implementing a comprehensive sector strategy

[26] The SCC has stepped up training programs at its educational center. It has also reached agreement with the World Customs Organization (WCO) to establish a regional training center in Baku, which is very significant step.

must clearly be a priority action in order to deliver the necessary improvements and appropriate separation of responsibilities.

- **Rehabilitation of key transport infrastructure and facilities.** Even before the comprehensive strategy is carried out or the transport sector is restructured, it is evident that urgent support is required to improve the quality of transport infrastructure and facilities. A considerable part of the physical transport infrastructure in Azerbaijan is of poor quality. Azerbaijan's main port on the Caspian Sea is Baku International Sea Port, which acts as a terminal for all trans-Caspian freight and passenger traffic, and some specialist heavy cargoes from the Black Sea. Baku's Bina Airport was significantly upgraded in 1999 to accommodate wide-bodied jets, however, the two other international airports in Azerbaijan (Gyandzha and Nakhichevan) require significant reconstruction and repair. The most immediate requirements are in the internal road and rail network. Approximately 56 percent of the main road network is in a poor state[27], and about 1,000 kilometers (30 percent) of rail track requires reconstruction. The upgrading of the East-West and North-South corridors, in particular, and better connections to rural areas are among the most important infrastructure requiring attention.

- **Promoting competition in the Caspian.** Ensuring access to quality transportation infrastructure and facilities cannot, in the long run, be sustained without the promotion of competition within the region. The Government, in partnership with the freight forwarders' association, should monitor and publish the cost and time of transport on major corridors for each of the most significant transport modes. This information would be provided to the Governments of transit countries, in particular Russia, Iran and Georgia on a monthly basis to emphasize their need to be competitive.

- **Training transport operators.** Freight forwarding and transport companies have faced very limited activity in the non-oil sector and, as such, need new training in order to meet new pressures for more timely and higher quality handling services. Encouraging the development of training and certification would greatly enhance the level of service. Such a program could be based on a Certificate of Professional Competence delivered by international professional associations such as the International Road Transport Union or the FIATA, in partnership with local professional associations.

Development of duty-free exemption and suspension mechanisms can provide an important competitive advantage for exporters

- **Developing Bonded Warehousing and Free Zones.** Azerbaijan, given its strategic location on the Caspian Sea between Europe and Central Asia, has the potential to develop into an important regional export hub. However, the availability of duty-free exemption and suspension mechanisms, as well as ready-built facilities, is very limited, and is a significant competitive weakness for exporters.. If properly implemented, bonded warehousing and free zones would provide more effective duty suspension and exemption schemes as well as the necessary infrastructure to support exporters, particularly smaller scale firms.

96. In terms of bonded warehousing, the SCC is working on new regulations for

[27] Road Condition Survey, 1996.

private warehousing operations. The description of proposed customs control measures seems to indicate, however, that the envisaged solutions do not reflect international experience in the sector and would have high cost implications for customs coupled with a fairly bureaucratic approach to their management. Developing an effective framework that meets the needs of both the private sector and Customs should be a priority. It is important that the draft regulations be reviewed in light of international standards set out in the Kyoto Convention.

97. Likewise, the establishment of a Special Economic Zone, currently under consideration by the Government, offers the potential to improve trade efficiencies, promote processing activities, and facilitate regional trade. The zone could have an important "demonstration effect" by de-regulating and de-monopolizing services (such as telecommunications), expedite the implementation of IT systems (such as a computerized customs system), and be a model of good governance. It can assist enterprises to use Azerbaijan as hub to serve markets in the Caspian region more cost-effectively. It also permits access by smaller enterprises who generally cannot afford the costs of operating a bonded warehouse. However, it is important that the SEZ framework reflects the decades of international experience with SEZs and avoid mistakes made elsewhere (Box 4.1).

Box 4.1—Why Some SEZs Fail—Key Factors

- Public sector development of zones
- Poor locations requiring massive public sector expenditures
- Special tax incentives which lead to tax evasion and other distortions
- Bureaucratic procedures
- Lack of policy transparency
- Inadequate autonomy of the zone regulatory body
- Lack of an adequate legal framework

98. In this context, it is important that the draft SEZ law be revised to address a number of weaknesses, which undermine an otherwise competitive framework. Among the most critical of these are to:

99. The key elements of a world-class zone should include: simplified and automated business procedures, de-monopolization and deregulation of telecommunications and other services; development and operation of the zone by a private development group; a public-private partnership for provision of offsite infrastructure; WTO-compatible duty and tax policies; and a lean, efficient and private sector-oriented zone regulatory authority (for regulation and administration of the zone regime, not physical development).

1.4 High Priority Actions to Improve Trade and Transport Facilitation

100. The following table provides a list of high priority actions in support of the strategy recommendations on trade and transport facilitation. A complete list of actions is provided in tables 7.2 to 7.5 in chapter 7.

Table 4.2—High Priority Actions for Improving Trade and Transport Facilitation

Proposed Measure/Action	Proposed Timeframe	Responsible Bodies
Customs		
Enhance Customs legal and regulatory framework • Expand implementation of advance customs declaration system • Introduce risk management program for selective inspections (initially paper-based) • Join the revised Kyoto convention and revise the Customs Code, regulations and instructions to (i) Introduce simplified procedures for consolidated shipments; (ii) enhance Customs authority regarding post-importation control of trade intermediaries; (iii) eliminate duplication in Customs offences and sanctions in the Administrative Code and the Customs Code; (iv) clarify requirements for processing timeframes and documentation; (v) consolidate customs charges in Customs Code and enhance penalties and sanctions	2003-2005+	SCC, MED, Border agencies, MOA, private sector
Improve anti-smuggling activities • Reduce the individual duty-free allowance for residents and regulate "suitcase trade" • Introduce mobile enforcement units • Facilitate establishment of system for pre-clearance of consignments at Georgian ports • Introduce/strengthen anti-corruption program at SCC	2003-2005+	SCC
Support SCC organizational reform efforts • Implement organizational restructuring efforts in line with new Kyoto-compliant Customs Code • Facilitate HRD and training efforts, develop plan for performance-based salary and compensation improvements • Establish an SCC organizational reform committee with private sector participation	2003-2005	SCC
Enhance cross-border trade facilitation • Align operating hours of customs posts with demand, rationalize roles of border agencies • Identify and implement a legal solution to post Azeri and Georgian customs officers at ports of entry on a reciprocal basis • Draft bilateral agreements with neighboring countries for trade facilitation practices among		

Implement an international-standard customs automation system such as ASYCUDA	2003-2005+	SCC
Strengthen public-private dialogue via AZERPRO Committee	2003-2004	MOT, MED, SCC, Port of Baku, ADDY, Freight Forwarders' Association
Transportation and Trade Infrastructure		
Develop a comprehensive strategy for the transport sector	2003-2004	MOT, MED
Promote competition in Caspian shipping services and ports	2003-2005	MOT, MED
Rehabilitation of key transport infrastructure facilities	2003-2005+	MOT, MED
Review and finalize draft regulations and establish a bonded warehouse scheme	2003-2004	MED, SCC
Review and finalize draft legislation and regulations; and establish a special economic zone regime and promote first private zone as a pilot project	2003-2005	MED, SCC

ADDY: State Railway Company
MED: Ministry of Economic Development
MOA: Ministry of Agriculture
MOT: Ministry of Transport
SCC: State Customs Committee

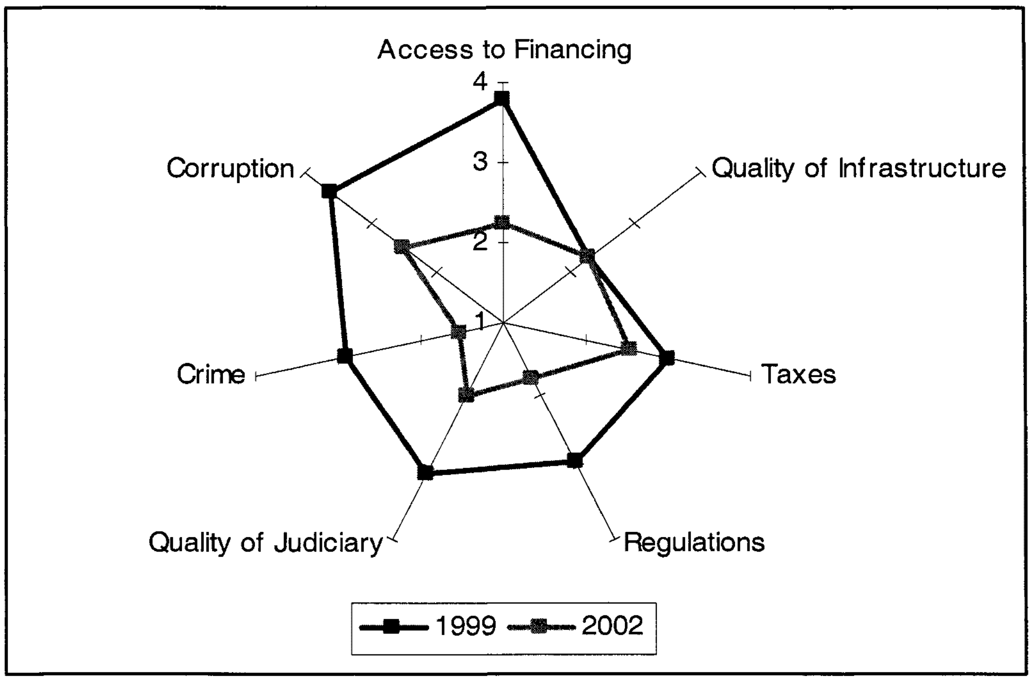
CHAPTER 5—IMPROVING THE BUSINESS ENVIRONMENT

1.4 Introduction

101. While trade-related policies can contribute significantly to the development of Azerbaijan's non-oil exports, supply-side issues must also be addressed if Azerbaijan is to maximize its full development potential. Building a competitive macro business environment is a key factor in boosting private sector development in the non-oil sector, diversifying trade, and achieving sustainable growth and poverty reduction.

102. Much of Azerbaijan's economic progress to date can be attributed to the Government's economic reform program. The creation of the MED in 2001, bringing together five ministries and state committees into the one body, is a major administrative step towards the achievement of a coherent and integrated economic strategy. Legal and regulatory reforms have spanned the full spectrum of economic policy areas, including commercial law, trade and investment law, banking and finance, privatization, and tax and customs.

Figure 5.1—Qualitative Assessment of the Business Environment in 1999 and 2002



Source: EBRD and World Bank, Business Environment and Enterprise Performance Survey, 2002.
Note: The combined measure of qualitative assessments of the business environment is calculated as an unweighted average across seven dimensions. The values range from 1 to 4, with 1 indicating no obstacles to business growth and operation, and 4 indicating major obstacles. The extremity of each axis represents a score of 4, indicating a less favorable business environment.

Azerbaijan's economic reform program has contributed to its progress in transitioning toward a market-based economy...

103. Azerbaijan's progress to date has been measured, together with 25 other transition countries, in the EBRD's Business Environment and Enterprise Performance Survey (BEEPS) that was conducted in cooperation with the World Bank. The BEEPS, first conducted in 1999 and again in 2002, illustrates the substantial progress that Azerbaijan has made in transitioning toward a market-based economy. Major achievements include successful privatization of small-scale enterprises and farms, price liberalization, and a relatively liberal trade and investment regime. The Government's reform program contributed substantially to the development of the private sector. By 2001, the private sector share of GDP grew to 71 percent, up from a meager 24 percent in 1994.

But many impediments to private sector development remain, including inconsistent legislation, lack of information on rules and regulations, and administrative barriers...

104. While initial reforms have introduced key elements for the establishment of a market-based, private sector driven economy, barriers remain that hinder private sector development and the expansion of trade, both in terms of the legal and regulatory framework itself, as well as the administrative systems that are charged with implementing them. The legal framework is complex, with significant inconsistencies and gaps. Information on decisions implementing laws and regulations is often difficult to obtain. While laws and decrees are usually published in one of the country's official newspapers, implementation is often delayed while regulations are developed. Those regulations often are not published or distributed. Many investors doing business in Azerbaijan complain that bureaucratic procedures contribute to long delays in gaining necessary permits and licenses.

...SMMEs are the hardest hit

105. The hardest hit are SMMEs who do not have the resources to navigate labyrinthine requirements and procedures. Such barriers impose high costs on firms, in terms of both money and time spent, as well as indirect costs resulting from operating in an environment of uncertainty. This negatively impacts their growth as scarce resources are diverted to dealing with administrative requirements. Others have been forced to operate in the informal sector, which is larger in Azerbaijan than in many transition economies.

Building a competitive macro business environment will be a key factor in boosting private sector development in the non-oil sector, diversifying trade, and achieving sustainable growth

106. Building a competitive macro business environment is a key factor in boosting private sector development in the non-oil sector, diversifying trade, and achieving sustainable growth. The macro business environment can be improved in a number of areas, including:

- Business Entry
- Access to Land and Site Development
- Labor Policies and Relation
- Taxation and Incentives
- Access to Finance and Credit
- Competition Policy
- Contract Enforcement and Dispute Resolution
- SMME Support
- Public Sector Governance

1.5 Facilitating Business Entry

Azerbaijan provides a relatively liberal and open investment ...

107. Azerbaijan provides a relatively liberal and open regime for direct investment. Direct investment in Azerbaijan is governed by two separate, but related laws: the Law on Investment Activity (Investment Law) and the Law on Protection of Foreign Investments (FDI Law). These are supplemented by bilateral investment treaties that provide mutual protection of investment.[28] Relatively few sectors are either restricted or prohibited from private investment. Prohibited activities currently include those relating to national security and defense. Investment in other key sectors, including energy, banking, and telecommunications, are subject to restrictions, which apply to domestic and foreign investors alike. The FDI law provides equal treatment to foreign investors. While these two laws generally provide a solid framework for investment, the MED has drafted a single, unified investment law providing a single policy regime for both foreign and domestic investors. While this is an important and commendable step forward, there three main weaknesses in the proposed law, as currently drafted:[29]

The proposed unified law is a very positive step, but can be further improved

- **Ambiguity regarding investment policy**. Many parts of the law appear to suggest Government control rather than liberalization of investment. Examples include provisions requiring Government's approval being apparently required for all foreign investments into the country; application of discretionary criteria for the granting of incentives for certain types of projects; and unclear and discretionary screening and approval process.

- **Regulatory rather than promotional emphasis of the new IPA**. Parts of the law are unclear whether the new Investment Promotion Authority is an approval rather than a promotion agency. Neither the IPA nor the "Executing Agency" are clearly defined in terms of structure and responsibilities; specifically, whether these Agencies are intended to promote investments, manage and grant incentives to investments, or both.

- **Unclear and discretionary screening process for provision of incentives**. The law does not specify transparent processes for the award of incentives, and leaves open the possibility that these may be granted on a case-by-case basis. International experience suggests the use of "performance-based" incentives that are automatically gained, rather than a discretionary process.

- **Weaknesses in the Company Law.** A related area of legislation is company law, which governs company formation. In Azerbaijan, company formation is governed by a number of inter-related laws—the Law on Enterprises, Law on Joint Stock Companies, and Law on Securities. The provisions of each of these laws are, in general, compatible with best practice, but are in many ways incomplete, particularly in terms of corporate governance and the protection of shareholder rights. The State Securities Committee has already drafted a revised Law on Joint Stock Companies

[28] Bilateral investment treaties have been signed with France, Georgia, Germany, Great Britain, Iran, Italy, Kazakhstan, Kyrgyz Republic, Lebanon, Moldova, Pakistan, Poland, Ukraine, Turkey, the United States, and Uzbekistan.

[29] This is a summary of points made by FIAS in their comprehensive review of the draft investment law. For detailed points, please see "Republic of Azerbaijan—Desk Review of the Draft Investment Law," Mimeo, April 2003.

that addresses some outstanding issues. While a substantial improvement, this draft law needs to be further strengthened in a number of areas in order to ensure an adequate degree of business flexibility and shareholder protection.

Business registration and licensing procedures are lengthy, but activities subject to licensing have been reduced dramatically

108. In terms of administrative procedures, the business registration and licensing regime has reportedly been one of the most cumbersome and time-consuming aspects of business start-up in Azerbaijan. In the assessment of administrative barriers conducted for this study, for example, registering a business took an average of 8-10 weeks; business licensing entailed an additional 2-3 weeks.[30] Company Registry officials have the discretion to review almost every detail of a company registration, making for an often long and overly discretionary process. In addition to company registration, some investors may be required to obtain sector licenses, depending on the type of activity. Like the company registration process, the licensing process has been both time-consuming and has often been used as an unofficial screening tool by public officials. While larger investors can absorb the costs associated with bureaucratic delays, smaller entrepreneurs can be discouraged from entering the formal sector.

Recent reforms have reduced administrative barriers to business entry...

109. The Government has already introduced important reforms. The September 2002 Presidential Decree "On Improvement of Regulations of Granting Special Permissions (Licenses) for Some Types of Activities," which reduced the number of types of activities subject to mandatory licensing from 240 to 30, and puts in place clear documentation requirements, has already substantially reduced the burden on investors. Improvements in other areas could further improve business start-up procedures. Reducing barriers to business entry will be particularly important for encouraging the development of small enterprises that are particularly hard put upon, given the direct and indirect costs associated with bureaucratic delays.

Streamlining business registration and licensing can further facilitate business start-up

- **Simplify business registration.** Box 5.1 illustrates guidelines that a recent EU commission has issued for the reform of company registration procedures in member states. These guidelines comprise best practice and their adoption in Azerbaijan would greatly reduce the scope for undue administrative discretion and bureaucratic delays.

Land laws are liberal, but site acquisition and development procedures are bureaucratic and lengthy

- **Provide clear guidelines.** Whatever system is ultimately in place, the provision of clear written guidelines, for use by both the private sector and officials responsible for registration and licensing, would provide increased transparency and ensure that the streamlined procedures that are laid down in the law are put into practice.

Box 5.1—European Union Guidelines for Improving Company Registration

The trend in corporate law among European Union member states is toward removing administrative barriers to private sector business startup. The EU established a commission to study company registration and simplify the business environment. The commission recommended the EU states to do the following:

- Introduce a single business registration form
- Set up a single contact point where businesses can register
- Institute a single business identification number system (for business registration, corporate taxation, VAT, etc.)
- Take measures to eliminate duplicate or superfluous forms and/or contact points
- Set deadlines and criteria for processing requests and granting licenses or authorizations
- Introduce a system whereby an application is deemed to be approved if the administration does not meet its deadline
- Utilize information technology and databases to share information among government agencies

[30] See Annex F of Volume II for analysis and further details.

1.6 Improving Access to Land and Simplifying Site Development

110. Among the transition economies, Azerbaijan has one of the most liberal land laws in the region. Azerbaijan offers investors a relatively liberal land regime in terms of ownership rights. Domestic and foreign-owned legal entities are free to own land and other property. While a favorable policy environment is in place, the procedures associated with land acquisition and site development have been characterized by the private sector as often difficult and time-consuming. According to the administrative barrier analysis background study, acquisition of site development and building construction permits typically requires a period of 50-120 weeks. Improving access to land, particularly in urban areas, and simplified site development procedures, should be part of any future reform program:

While efforts to develop a unified cadastre will contribute to the development of an efficient land market, this must be coupled with accelerated privatization of urban property and streamlined administrative procedures

- **Development of unified cadastre.** The real estate market remains relatively underdeveloped in Azerbaijan and a multi-purpose, unified land cadastre has yet to be established, making the identification of land and other property and their ownership rights time-consuming. Information on privately owned land is difficult to come by. Efforts are now underway to establish a unified cadastre under newly drafted legislation. This work should be completed in as timely a manner as possible in order to ensure that the most up-to-date and comprehensive information is available.

- **Simplify transfer of state owned property.** Acquiring ownership or land use rights to publicly owned land tends to be difficult, as it typically requires multiple reviews and approvals and, in some cases, preferential policies. Although designed to alleviate sensitivities toward land allocation, this can hamper private sector development and result in the inefficient allocation of resources, reducing the overall gains of privatization to the Azerbaijani economy. While land can be a politically sensitive issue and needs to be handled accordingly, the difficulties encountered by investors in accessing land need to be addressed if the country is to be successful in attracting private investment. Only by opening up more land for investment can a greater level of investment be realized in the coming years.

- **Streamline title transfer.** The registration process is presently inefficient and non-transparent. It can reportedly take several weeks, and sometimes several months, to complete the registration process—a procedure that, ideally, should be an automatic filing process and take no more than one day once all documentation has been submitted. The procedures for registering land and other property should be streamlined and made available to the public.

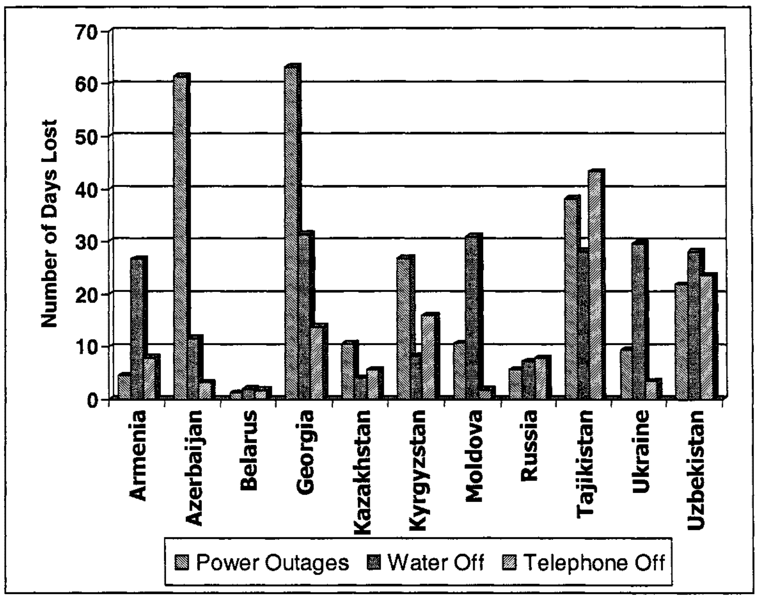
Site development procedures—including zoning, construction and occupancy permitting, and environmental clearance—must be streamlined

- **Simplify site development requirements.** The site development process is often perceived as a long and complicated.. There is no formal zoning framework in place. Building regulations and standards date back to the Soviet era and are not readily available to investors. Construction permitting, once all project plans have been submitted to the relevant authorities, typically takes one to two months. Obtaining environmental clearances are complicated by the lack of adequate resources at the Ministry of Environment. Procedures for obtaining utility connections are unpredictable and often problematic. It will be important to streamline procedures and establish clear guidelines and timeframes for approvals. The regime for occupancy permitting should be reviewed and re-engineered to eliminate unnecessary duplication of efforts and long delays.

Improving access to and the quality of utilities, particularly electricity, needs removal of implicit subsidies

- **Improve access to and quality of utilities and telecommunications.** The utilities sector, in its present state, is unable to meet the needs of Azerbaijan's economic development goals. Though significant investments have already been made in upgrading and expanding infrastructure, service remains unreliable and capacity is insufficient, particularly electricity. Implicit subsidies to SOCAR (in the form of unpaid tax liabilities), which account for approximately 25 percent of GDP, and below-market tariffs have allowed consumers to over-consume as there is little incentive to economize. It will be impossible to enhance economic efficiency, in both the oil and non-oil sectors, without addressing the shortcomings of the utilities sector, a sector that underlies economy-wide efficiency and competitiveness. The electricity

Figure 5.2—Number of Days Lost from Utility Outages



Source: EBRD and World Bank, Business Environment and Enterprise Performance Survey, 2002.

sector appears to be particularly troublesome for investors (see figure 5.2).

111. The Government has now committed to significant reforms to increase financial discipline to improve the performance of the utilities sector and encourage the provision of quality services. Reform efforts also focus directly on improving access to and quality of utility and telecommunications services through increased public investment in infrastructure and private sector participation. Other supply-side issues need to be addressed, as well. Future reforms should include the elimination of indirect subsidies to utility providers through further improvements in financial discipline and gradual adjustments in tariffs to cover the true economic costs of providing these services. While it is clear that, given the size of the subsidies, any reform program must be long-term in nature, short- and medium-term goals must be set across the board in order to ensure movement toward full financial discipline. Improving performance in the

telecommunications sector will require substantial restructuring and further liberalization, including the privatization and eventual de-monopolization of Aztelcom, the establishment of an independent regulator, tariff rebalancing to stimulate efficiencies in domestic services, the loosening of restrictions on web hosting to facilitate the expansion of value-added ISP services, and relaxation of content controls.

The establishment of private industrial estates can alleviate infrastructure constraints

- **Promote establishment of private industrial estates**. The establishment of privately owned and managed industrial estates could alleviate infrastructure constraints by providing factory shells, serviced facilities and dedicated utility services to companies. The Government can promote the development of these facilities by developing an land use and zoning exercise; identify prospective sites for industrial estate development; develop a regulatory framework for the establishment and operation of private industrial parks; and develop a public-private partnership approaches to stimulate such activities.[31]

1.7 Improving Labor Policies

112. The transition process has engendered the need for a substantial structural shift in Azerbaijan's labor market. Azerbaijan offers a relatively highly educated, low cost workforce for a country with its income level. According to the 1999 population census, up to one-fifth of working age population in Azerbaijan have completed specialized secondary education, and a similar share of the population has completed or was enrolled in higher education. At present, however, Azerbaijan has been struggling to sustain previously achieved education outcomes due to decreasing fiscal resources and increasing competition for limited funds, while reorienting its education system to the needs of a market economy and an independent country. At the same time, Azerbaijan's working age population is growing rapidly, increasing 20 percent between 1990 and 2000. In order to reduce poverty, new economic opportunities must be created to generate a sufficient number of new jobs. The encouragement of the non-oil sector will require the re-alignment of labor policy to meet the demands of a more diversified, growing economy:

The re-alignment of labor policies to meet the demands of a more diversified, growing economy is required

- **Match education and skills training to private sector demands.** Much of the Azeri workforce is quickly losing its skills and the existing skills are becoming obsolete, as reflected in the unemployment statistics. The lack of formal employment opportunities for some groups of population means that an increasing share of workers with higher education is either unemployed, or self-employed in low-skilled, small-scale, informal activities and agriculture. In 2000, more than 60 percent of the unemployed had higher or secondary special education. Many workers find that their skills have become obsolete in the new market economy. This confirms that there is a significant skills mismatch—the skills obtained and possessed by new graduates differ significantly from the skills in demand. Developing training programs that meet private sector needs will be essential.

More flexible labor dismissal provisions, together with investments to assist unemployed persons, are required

- **Relax restrictive dismissal provisions.** Labor relations are regulated by the new Labor Code that entered into effect in 1999. Hiring provisions are relatively liberal, with no quantitative constraints on the employment of expatriate workers. More

[31] Typically, the government provides all infrastructure facilities and service connections to the industrial estate site (off-site or external infrastructure), and the private investor provides all infrastructure and facilities within the bounds of the industrial estate.

important, however, are the relatively strict provisions for dismissal and generous statutory benefits that especially impact SMMEs. Written employment contracts are compulsory and are usually valid for an unlimited period. Fixed-term contracts, either for five years or less, or for the duration of a project, are possible under certain conditions. Dismissals for economic reasons are restricted. Dismissals without notice are limited to cases of drunkenness, theft, and "immoral activity." Dismissal for other reasons, such as incompetence, must be preceded by a history of under-performance. The Labor Code also imposes European Union-style restrictions on working hours and large minimum requirements to paid holidays, maternity leave, and other statutory benefits. Such provisions can substantially increase the operating costs, which can weigh particularly heavy on SMMEs. More flexible labor provisions, together with investments to assist unemployed persons—such as skills training and an adequate social safety net—are generally more helpful in achieving the increased efficiencies that ultimately determine competitiveness and promote sustainable economic growth and reduced poverty.

5.5 Simplifying Taxation and Improving Fiscal Incentives

The new Tax Code and on-going reforms has substantially simplified the tax regime....

113. Recent policy reforms in Azerbaijan include a substantial overhaul of the statutory tax regime, including the introduction of a new Tax Code, the first codified digest of tax law which came into effect in January 2001. In the past, tax rules were scattered across numerous laws and other legislation, which created an overly complex and non-transparent regime. In addition to the consolidation of tax law into a single unified code, the new Tax Code provides for revised rates and improved procedures for filing and auditing. Over the past few months, further actions have been implemented to improve tax policy and administration, including:

- Restructuring of the Ministry of Taxes (MOT) including establishment of a Large Taxpayers Unit to simplify administration of taxes for large enterprises, and reduction of 40 percent of MOT staff and the number of offices
- Preparation of draft amendments to the Tax Code to address inconsistencies with other laws and incorporate provisions contained within other laws
- Improvements in tax administration practices including introduction of new work processes for receipt of tax returns; standardization of audit practices[32]; and establishment of taxpayer audit divisions at local tax offices

114. These actions have already improved tax policy and administrative practices. However, interviews with the private sector suggest that taxation remains among the most prominent of the difficulties in the investment climate in Azerbaijan, particularly for SMMEs. Tax legislation remains difficult for small entrepreneurs to understand, tax inspectors maintain a high level of discretion and influence, and the absence of clear, written materials makes it difficult to access the correct information.

[32] To ensure compliance with the Presidential Decree "On Prevention of Inspections that Impede the Development of Entrepreneurship" of September 28, 2002, the MOT developed formats to be used in taxpayer audits, standardized procedures and improved supervision of audits. According to the MOT, these actions have resulted in a significant decline in the number of on-site audits and an increase in their quality and efficiency.

115. Specific actions that can further improve the tax system include:

The Tax Code should be strengthened improve clarity, simplify tax administration, and reduce the effective tax burden

- **Further strengthen the Tax Code**. While draft amendments to the Tax Code have been proposed at various times, it is critical that the Tax Code be comprehensively amended and stabilized. Among the various issued to addressed include:

  - *Gaps and inconsistencies with other laws*—For example, while the Insurance Law classifies insurance brokerage services as insurance activities, the Tax Code does not, precluding such services from the more beneficial tax treatment accorded to income derived from insurance and financial services activities.
  - *Tax regulations*—Currently, tax regulations are dispersed and are not harmonized with the new Code, adding a further layer of confusion.
  - *Provisions regarding tax administration*—A number of administration related issues are contained in other legislation and need to be incorporated into the new Tax Code in order to create a truly unified set of legislation.
  - *Allowable deductions for business expenses*—Provisions for allowable deductions are unclear and lead to discretionary interpretation by both the public and tax officials. Moreover, the limited range of deductions leads to relatively high effective tax rates.[33]
  - *Dispute settlement*—Dispute settlement mechanisms are insufficient to address the concerns of taxpayers. An impartial appeals mechanism should be established to protect taxpayers and increase confidence in the system.
  - *International Accounting Standards*—Currently, local accounting standards must be used. Azeri Accounting Standards (AAS) differ in many ways from International Accounting Standards (IAS). Multinational taxpayers must keep two separate set of accounts, one in compliance with AAS and one in compliance with IAS for their headquarters abroad, which increases the burden of compliance.[34]

Recent efforts to tackle administrative corruption by tax officials must be accompanied by simplified, no-contact tax reporting and more transparent auditing procedures

- **Further streamline tax reporting.** The MOT has improved tax reporting practices by revising procedures for receiving tax returns and permitting taxpayers to submit returns personally, through an authorized representative and by mail. However, interviews with the private sector point to other issues that need to be addressed. The forms are deemed to be relatively complex, particularly for small entrepreneurs. Simplifying tax forms and increased use of no-contact filing mechanisms (including, eventually, electronic means[35]) would reduce the burden on investors, particularly SMMEs.

- **Improve transparency of auditing practices.** Auditing procedures also tend to be highly problematic and have been a regular source of illegal rent extraction by government auditors. The abuse of audits has also been perceived as a source of harassment and interference with private enterprises. In light of this growing problem, a recent presidential decree restricted the auditing activities of the Ministry of Taxes, including a prohibition on audits that last longer than envisaged by the legislation and that go beyond the limits of their authorities; a reduction on the number of on-site audits and the prevention of repetitive, unjustified audits; and the

[33] The MOT claims that the determination of deductible expenses is consistent with IMF recommendations and international norms.
[34] This is being achieved through the Draft Accounting Law which is currently being finalized.
[35] A draft law on digital signatures and electronic documentation is under review.

dismissal of 40 percent of the structural divisions of the Ministry engaged in auditing and related functions are significant developments. The introduction of a risk-based system, whereby audits are targeted at non-compliant businesses, would further ensure that audits are no longer a source of administrative abuse.

- **Increase public awareness.** The tax system undergoes amendment on a frequent basis and remains one of the more complex aspects of the Azerbaijan business environment. The absence of clear, readily available printed materials and training programs explaining the Tax Code in layman's terms makes it difficult for investors to keep pace with changes, particularly small entrepreneurs that cannot afford the services of facilitators. Foremost among these is the provision of clear and well-defined procedures and rules for calculating and submitting tax returns to increase the understanding of the private sector and reduce the discretionary powers of the tax authorities in interpreting tax law. Better access to consolidated, simplified written materials is essential to increasing transparency and simplifying the system.

- **Negotiate double taxation treaties.** Azerbaijan has entered into bilateral tax treaties with 13 other countries,[36] including several CIS partners, as well as Great Britain, Norway, Germany and Poland. No such treaties have been concluded with a number of other potential sources of foreign investment, including the United States, Canada, Japan, France, and Italy, among others. Tax Treaties play an important role in curbing fiscal evasion and encouraging foreign investment through the prevention of double taxation—Azerbaijan should actively seek to conclude tax treaties with the most promising sources of foreign investment.

5.6 Increasing Access to Credit

116. The banking sector has been a key component of the Government's structural reform strategy. In coordination with the IMF and World Bank, substantial reforms have been undertaken to strengthen the sector and expand credit opportunities to private enterprise, including the restructuring and privatization of state-owned banks; the consolidation and rationalization of private banks through increased capital requirements; improved regulatory capacity and powers for the National Bank of Azerbaijan (NBA); and improved institutional and technical infrastructure to support the banking sector.[37]

Access to financing ranks among one of the key factors constraining the development of private enterprise, particularly the SMME sector

117. While recent reforms have improved the sector's performance, the banking sector remains small and weak, playing a minimal role in an economy which functions primarily on cash. Access to financing ranks among one of the key factors constraining the development of private enterprise, particularly the SMME sector, in Azerbaijan. While short-term banking credit is more readily available, many of SMMEs have no access to affordable long-term credit given collateral requirements and short payment terms. Azeri banks offer difficult lending terms, usually 15-25 percent interest in dollar-denominated loans with a maximum two-year term, and collateral up to two to three times the loan amount is required for all but the smallest loans. This is exacerbated by an undeveloped

[36] Double tax treaties are in force with Great Britain, Germany, Austria, Norway, Turkey, Poland, Russia, Moldova, Ukraine, Georgia, Kazakhstan, Uzbekistan, and Pakistan.

[37] A new banking system law is in the President's office; a national bank law is being drafted. A clearing system for card payments for government payments will soon be operational. The use of international accounting standards has already been applied to the commercial banking sector.

capital market and inadequate confidence in the Manat—some 80 percent of the borrowing base is in foreign exchange.

118. The non-bank sector provides limited support to SMMEs. Several microfinance projects, set up by donors and NGOs, are providing a limited supply of financing. However, loan sizes are small, averaging US$200—insufficient to meet the development needs of SMMEs. A new Micro-Finance Bank (MFBA) has recently been set up with funding from the EBRD (25 percent), IFC (35 percent), Black Sea Trade and Development Bank (35 per cent), and LFS Financial Systems (5 percent). Since October 2002, the MFBA has provided over 1,000 microcredits, with a total of US$1 million outstanding. The MFBA provides loans ranging from US$400 to US$10,000, with low collateral requirements (1.5 times loan size). While the loans carry a 36 percent annual interest rate, some 90 percent of the bank's clients are new to the banking system—most borrowers have relied on informal money lenders who provide credits at usurious interest rates of 15 percent per month.

119. The Government has also initiated efforts to provide much-needed financial support to SMMEs. A National Fund for Entrepreneurship Development has been set up under the MED to provide financing and other support to SMMEs. As of June 2003, according to MED officials, more than 300 enterprises have been financed through the Fund. In addition, under the State Program on Small and Medium Entrepreneurship Development, approved by presidential decree in August 2002, other financing support mechanisms will be developed, including new microfinance schemes; assistance to credit unions; new mechanisms for investment support for industrial modernization of SMMEs; new mechanisms for venture capital and other technology development support; and the extension of cooperation with foreign financial and credit structures.

Measures to improve SMME access to finance will be critical to supporting the development of the non-oil sector...

120. While these new programs, and other donor-backed financing facilities that are in place, will certainly contribute to SMME development, they are unable to fill the vast gap that exists between supply and demand. Measures to improve SMME access to finance will be critical to supporting the development of the non-oil sector:

- **Banking sector reform and restructuring.** Further banking sector reform/restructuring will be required to develop a sustainable local banking sector that can meet the project and trade financing needs of the private sector in Azerbaijan. Necessary reforms include the restructuring and privatization of remaining state-owned banks, measures to further increase consolidation, further liberalization of foreign participation, improvements in the regulatory framework, and further development of banking infrastructure.

Key measures include ongoing banking sector reform, the development of new financing schemes and leasing mechanisms for SMMEs, and improving financial management of SMMEs

- **Development of leasing mechanisms.** Leasing can serve as a significant source of finance for small firms wanting to invest in equipment. Unlike banks, which rely on credit history, assets, or capital base to assess credit-worthiness, leasing companies evaluate the lessee's ability to generate cash flow to service lease payments. SMMEs, without a long history of financial statements, can benefit from such arrangements. Currently, there are very few leasing companies operating in Azerbaijan. Leasing in Azerbaijan is currently in its infancy. Weaknesses in the current legislation can hinder its development. For example, the current legislation does not appear to permit a lessor to transfer the lease to the third party. To encourage the development of the leasing sector, the relevant legislation must be improved to increase the protection of lessors' rights.

- **Development of equity and/or venture capital funds.** There is presently only one equity fund operating in Azerbaijan, the Soros Investment Capital Fund. The Soros Fund operates throughout the CIS and Central Europe, providing equity and other financing for large-scale projects. Currently there are no venture capital funds in Azerbaijan that provide financing to new entrepreneurs. Venture capital and other equity funds can be an important resource for SMME development. Experience from other developing and transition economies demonstrates private investment in the establishment of venture capital markets can be promoted through various mechanisms, including the development of an appropriate enabling framework, tax and other fiscal incentives, and the provision of matching funds. Designing an appropriate framework for Azerbaijan must be tailored to its development context, including the current culture for entrepreneurship and risk-taking[38].

- **Improving the framework for secured transactions.** A related issue is the legal and institutional framework for secured transactions. The existing framework for secured transactions is insufficient to meet the needs of the private sector, particularly in the case of movable property. The legislative and institutional framework governing collateral in Azerbaijan is fragmented and incomplete. The Civil Code and Law on Mortgages, both of which cover different aspects of collateral, are inconsistent. Moreover, Azerbaijan does not presently have a regime that effectively allows the pledging of movable property collateral. Several registries are maintained by different governmental bodies for various types of collateral and not all types of collateral are covered, such as equipment, inventory, and accounts receivable. The establishment of a comprehensive collateral registry system is a necessary institution to support the extension of secured credit.

- **Improving financial management in private sector.** While increasing the supply of financing options for SMMEs will be critical for their development, equally important is the development of their own financial management skills. Many SMMEs in Azerbaijan lack the tools necessary to develop relevant financial documentation, such as accounting standards (particularly International Accounting Standards), business plans, cash flow statements, budget, and income forecasts.

- **Introduction of new payment schemes for non-cash transactions.** Azerbaijan is still a predominantly cash-based economy. Salaries, pensions, and day-to-day transactions are generally carried out in cash. Similar countries have developed innovative payment mechanisms to reduce dependence on cash transactions. For example, smart card technologies provide a cheap and easy mechanism for enabling cashless transactions. In Azerbaijan, the extensive network of postal offices could be leveraged to provide smart card terminals that would allow cashless transactions for a wide variety of services, from pension payments to utility bills.

5.7 Encouraging Competitive Markets

121. The development of Azerbaijan's export sector is contingent upon the development of a competitive, market-based economy at home. The establishment of an effective legal and institutional framework for promoting competition and curbing

[38] This recommendation is intended to promote private investment in the establishment of venture capital funds, and does not advocate the establishment of such a fund by the Government or any related entity, such as the Oil Fund.

monopolistic behavior is particularly important for Azerbaijan and other transition economies, given the highly monopolized nature of the centrally planned Soviet economy. Encouraging competition will require:

Effective enforcement of competition policy. Azerbaijan has already come a significant distance in developing a legal and institutional framework for competition policy. An Anti-Monopoly Law was introduced in 1993 and amended in 1997, which defines several different kinds of monopoly and abuse of dominant position in the marketplace. In 2001, the Department of Anti-Monopoly Policy was established within the MED. As the executing agency, the Department has the authority to impose a range of measures against monopolistic behavior, including the ultimate authority to terminate a company's activities.

Competition should be strengthened through effective anti-monopoly policies and enforcement and by increasing SMME participation in government procurement

122. However, as in many other policy areas in Azerbaijan, while the legal and institutional framework is in place, effective implementation has been more difficult to achieve. The Department has little authority or capacity to carry out its mandate under the law. To date, its role has been primarily advisory in nature. If the law is to have any impact, the role of the department must be re-oriented toward monitoring and enforcement and the Department must be armed with the tools, funding and resources necessary to back up its mandate. While the Department has initiated the development of a public register as a database for the analysis of price movements and other indicators, the Department needs to develop methodological guidelines and improve data collection to enable the Department to effectively carry out its monitoring and enforcement functions.

- **Increase SMME participation in government procurement.** An issue related to competition policy is the set of rules pertaining to government procurement. As in many developing and transition countries, the government is one of the largest domestic consumers of goods and services and can therefore play an important role in encouraging the development of local industry. Complex or unfair procurement rules can effectively rule out participation by SMMEs, limiting their ability to attain scale economies and compete in the global marketplace. A new procurement law in Azerbaijan appears to provide non-discriminatory rules. However, in practice, it will be important to monitor and promote the participation of SMMEs in public procurement.

5.8 Improving Contract Enforcement

Strengthening the judiciary and providing alternative dispute resolution would increase confidence in the rule of law

123. The need for a fair and reliable mechanism for dispute resolution is paramount to building confidence in the business environment. In Azerbaijan, contract enforcement remains an important concern for investors (see Figure 5.3). Improving the quality and reliability, as well as confidence in, dispute resolution includes:

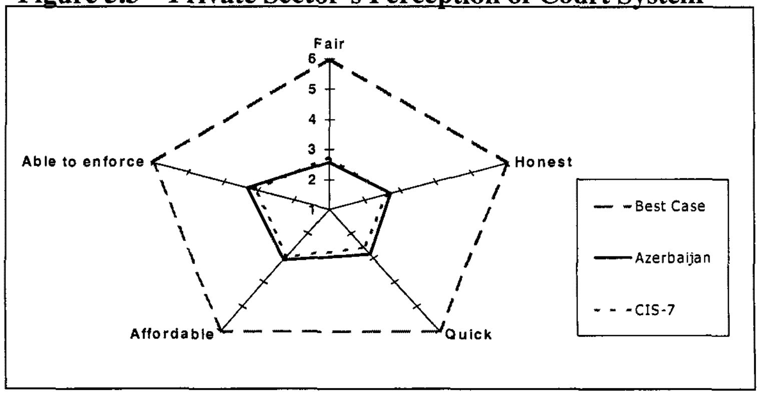
- **Strengthen the judiciary.** The Economic Court, which has jurisdiction over commercial disputes, is, according to most accounts, weak and inefficient. Established in 2000, the Court lacks the capacity to effectively carry out its mandate. The Court has itself been subject to charges of corruption.[39] While the Government

[39] See U.S. Foreign Commercial Service and Department of State, "Azerbaijan Country Commercial Guide," (2003); and European Bank for Reconstruction and Development, *Azerbaijan Investment Profile*, (2001).

has already taken steps to strengthen and build confidence in the judiciary—for example, through new testing—additional measures that should be taken to strengthen the judiciary include more training of judges in commercial law, improvements in enforcement, better case management systems, and an improved mechanism for judicial oversight.

The need for a fair and reliable mechanism for dispute resolution is paramount to building confidence in the business environment.

Figure 5.3—Private Sector's Perception of Court System



Source: EBRD and World Bank, Business Environment and Enterprise Performance Survey 2002

- **Establish an independent alternative dispute resolution mechanism.** While strengthening the judiciary is an important component—and will ultimately be a medium- to long-term effort before public confidence is increased—also important is the role of independent alternative dispute resolution (ADR), i.e. arbitration, often a less costly and quicker means of dispute resolution. It is also deemed to be fairer in countries where the judiciary is not well established or is distrusted, as in Azerbaijan. There is presently no independent arbitration service in Azerbaijan that can provide an alternative to the local judiciary. A recent Eurasia Foundation funded initiative to establish such a service should be actively pursued, including the development of training and credentialing mechanisms, as well as increased public awareness of the value of ADR.

While the number of SMMEs is growing rapidly, firm-level growth remains sluggish

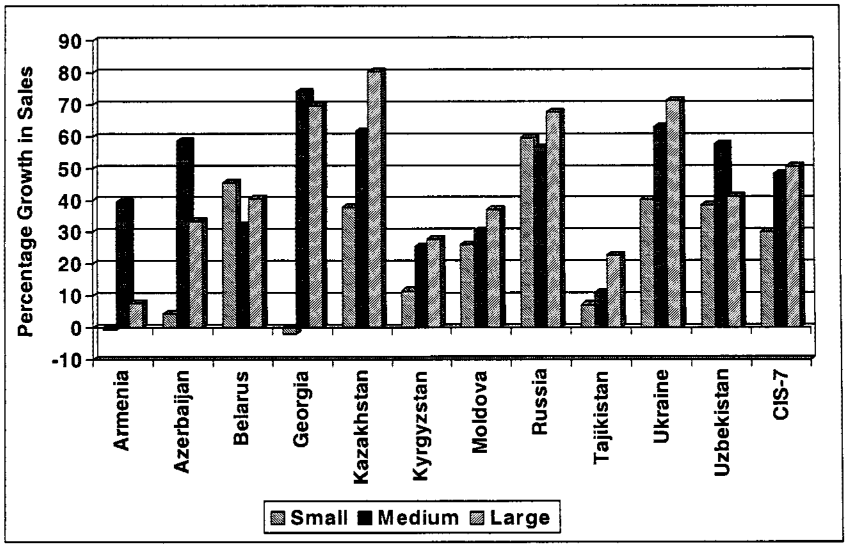
5.9 Supporting Entrepreneurship

124. SMMEs account for more than 80 percent of registered enterprises in Azerbaijan. During the last five years, the share of SMMEs in GDP grew from under 25 percent to almost 43 percent. However, as in many of the CIS countries, in terms of sales, small enterprises are growing much slower than their larger counterparts in Azerbaijan (see figure 5.4). While most of the recommendations in the preceding sections will contribute, directly or indirectly, to the development of small enterprises and entrepreneurship, supporting sustainable SMME development will require additional, targeted measures. A recent Presidential Decree established an Entrepreneurs' Council that will advise on SMME development—this new public-private dialogue should be actively supported. Future efforts should also focus on:

A new State Program on SME Development envisages a comprehensive and ambitious program to support SMMEs

- **Implementation of State Program for SMME Development.** A new State Program on Small and Medium Entrepreneurship Development envisages a comprehensive and ambitious program to support SMMEs, including financial support, technology transfer, human resource development, regional diversification, and protection of entrepreneurs' rights. More than 60 specific, actionable measures have been identified to encourage entrepreneurship. These initiatives—all worthy and practicable—need to be carefully prioritized to ensure that maximum efforts are

Figure 5.4—Firm Growth Rates, by Size (1999-2002)



Source: EBRD and World Bank, Business Environment and Enterprise Performance

exerted on those activities that will provide the most results.

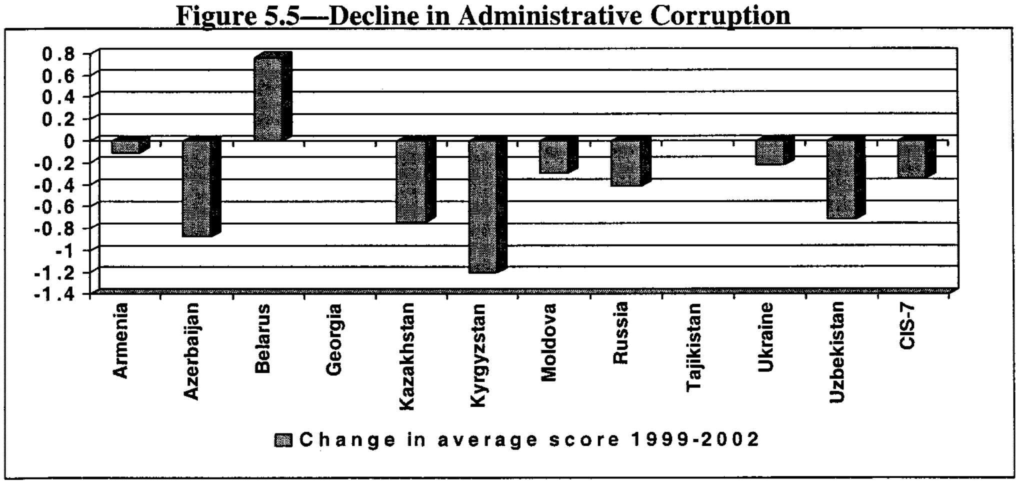
5.10 Improving Public Sector Governance

The GOA has taken the first steps towards rooting out corruption...

And its impact has been positive

125. Ambiguous and/or conflicting legislation, the lack of transparent and consistently applied rules, and overly discretionary powers granted to public officials can all combine to create a challenging business environment and can give rise to state capture and administrative corruption. Recognizing this growing issue and its negative impact on economic development, the Government of Azerbaijan has already taken the first steps towards rooting out corruption. A presidential decree "On the Intensification of the Fight against Corruption" was issued in June 2000, instructing the Prime Minister and the head

Figure 5.5—Decline in Administrative Corruption



Source: EBRD and World Bank, Business Environment and Enterprise Performance Survey, 2002.

of the Presidential Administration to prepare a draft anti-corruption law and a state anti-corruption program. To date, the draft law has passed the first hearing in the Parliament. The impact has been positive, with a substantial decline in complaints about corruption.

Nevertheless, corruption and state capture remain important issues...

126. Several other decrees have been issued that attempt to tackle various types of corruption. Most recently, the September 2002 decree "On Prevention of Interferences Impeding the Development of Entrepreneurship" aims to reduce public sector abuses of power, including prohibiting the law enforcement agencies and state authorities from interfering with business activities of private entities. Additional steps that can assist the Government's mission to combat corruption include:

Developing an effective legal and institutional framework, and increased public-private dialogue, are essential

- **Develop legal and institutional framework.** Passing the anti-corruption law and, equally important, setting up an effective institutional framework to monitor and enforce the law will be essential to ensuring that the Government's continued success in combating administrative corruption.

- **Develop private-public dialogue.** State capture, another form of corruption, must also be addressed. The most effective means of combating state capture is the development of transparent mechanisms for public-private dialogue on economic policies. The ability of the private sector, particularly SMMEs, to promote its interests needs to be strengthened. One of the most effective means of promoting private sector interests is through business and trade associations—improving their skills in policy analysis, advocacy and public outreach can play an important role in reducing state capture and promoting economic policies that provide broad-based benefits to the Azeri population.

5.11 High Priority Actions to Improve the Business Environment

127. The following table provides a list of high priority actions in support of the strategy recommendations on the macro business environment. A complete list of actions is provided in Tables 7.2 to 7.5 in chapter 7.

Table 5.1—High Priority Actions for Improving the Business Environment

Proposed Measure/Action	Proposed Timeframe	Responsible Bodies
Business Start-up		
Revise Company Law to improve provisions on corporate governance, business flexibility and shareholder protection	2003-2004	SSC, MED
Finalize Draft Investment law • Clarify need and scope for approvals • Remove need for registration of all FDI • Eliminate discretionary incentives • Clarify role of investment promotion agency--promotion rather than regulation	2003	MED

Streamline business registration process • Reduce discretion in process and provide time limit on registrations • Provide written guidelines to investors • Evaluate scope for a private notarial system • Set up one stop shop for registrations • Develop on-line registration system	2003-2004	Company Registry, MOJ, MED
Site Acquisition and Development		
Reform Real Property Law • Introduce financing mechanisms and mortgages for non-agricultural land • Study introduction of a centralized register for mortgages on land and movable property	2003-2004	SCLC, MED
Improve Access to Land • Accelerate privatization of urban property • Encourage development of private property market, including real estate association • Create land use planning/zoning framework	2003-2004	Dept of Privatization, Municipalities
Improve Land Registration and Titling • Establish a unified land cadastre under new legislation • Streamline title transfer procedures, enhance transparency	2003-2004	SCLC, MED, BTI, Baku Mayor's Office, Privatization Agency, private groups
Enhance Building and Site Development Regulations & Procedures • Building regulations to international standards • Streamline construction and occupancy permitting requirements and procedures • Develop effective environmental protection mechanisms	2003-2004	MED, SCAC, Municipalities, Dept of Fire Safety, SED/MOH
Promote Private Industrial Parks • Undertake land use/site selection study • Develop regulatory framework for industrial parks & public-private partnership • Encourage establishment of private parks	2003-2005	MED
Facilitate Participation in Utilities • Increase competition in telecommunications and IT services • Initiate privatization and demonopolization of Aztelcom • Develop legal framework for ICT and e-government operations • Complete the process of removing indirect subsidies to utility providers	2003-2005	MED
Labor Market Policies		
Enhance Labor Market Policies and Labor Skills • Revise restrictive provisions on hiring and dismissal of workers; move forward with labor re-deployment schemes • Eliminate general license for expatriate workers • Review educational curricula to better match industry needs • Promote industry-education collaborations • Set up regional labor exchanges, training centers	2003-2005+	MOL MOEd, private sector

Taxation		
Enhance Tax Policies & Administration • Accelerate process of addressing gaps & inconsistencies of Tax Code • Consolidate regulations; harmonize with tax code • Implement decisions taken to enhance auditing and dispute settlement procedures • Clarify policies regarding deductible expenses • Streamline VAT refund mechanism • Allow use of international accounting standards (new Accounting Law) • Complete tax treaties with US and other sources of investment	2003-2005	MoTax MOF
Competition Policy and Governance		
Enhance Competition Policy & Public Governance • Strengthen capacity Antimonopoly Dep't • Increase private sector/NGO participation in policy dialogue • Strengthen business associations • Enhance framework to combat corruption		MED MED, PMO, NGOs
Contract Enforcement		
• Improve Contract Enforcement and Dispute Resolution • Establish alternative dispute resolution mechanism • Training of arbitrators and lawyers • Initiate judicial reform and upgrading effort aimed at Economic Court	2003-2005+	MOJ
Access to Credit		
Continue banking sector reform and restructuring • Privatize remaining state-owned banks • Encourage establishment of new private banks • Improve banking supervision • Develop banking infrastructure • Improve banking system and central bank laws	2003-2004	MED, MOF, NBA
Reform leasing legislation	2003-2004	MED, MOTax
Improve framework for secured transactions • Develop coherent legal framework for collaterals • Establish comprehensive movable property registry	2003-2004	MED
Reform Credit Law to allow foreign companies to extend credit	2003-2004	MED
Establish credit bureaus	2003	NBA, commercial banks
Implement International Accounting Standards and improve financial management skills of private sector	2003-2004	Private business associations
Develop and encourage mechanisms for non-cash transactions	2003-2004	NBA

Other SMME Support		
Establish local market infrastructure for entrepreneurship, incl. consulting, training, information, trade fairs	2003-2005+	MED, Relevant Ministries

MED: Ministry of Economic Development
MENR: Ministry of Ecology and Natural Resources
MOC: Ministry of Communications
MOEd: Ministry of Education
MOF: Ministry of Finance
MOFA: Ministry of Foreign Affairs
MOH: Ministry of Health
MOJ: Ministry of Justice
MOTax: Ministry of Taxes
NBA: National Bank of Azerbaijan
PMO: Prime Minister's Office
SCAC: State Construction and Architecture Committee
SFD: State Fire Department
SSC: State Securities Committee
STATCOM: State Statistical Committee

CHAPTER 6—DEVELOPING COMPETETIVE INDUSTRY CLUSTERS

1.8 Introduction

The cluster approach provides a holistic framework for understanding sources of competitive advantage

128. There is growing evidence that improvements in the macro business environment are a necessary but insufficient condition to ensure a nation's competitiveness.[40] As articulated by several competitiveness theorists, a nation's prosperity is based upon the competitiveness of its firms or industries, which is determined in large part by the quality of the "micro business environment" within which firms compete.

129. Competitive advantage is increasingly being defined by the *cluster approach*, rather than traditional sector-based analysis. The *cluster approach*, which provides a holistic framework for understanding how firms interact to build a competitive advantage, provides a market-based perspective for the development of appropriate government policies and programs to complement macro-level reforms and support firm and industry-level competitiveness.

A pilot study of the fruit and vegetable processing cluster highlights the types of issues that will need to be addressed at the micro-level to improve competitiveness, including small firm size, lack of local supply base, weak vertical linkages, and lack of market information

130. A pilot study of the fruit and vegetable-processing cluster highlights the types of issues that will need to be addressed at the micro-level to improve competitiveness:

- Processing companies in the cluster are relatively small, with 55 percent having 50 or fewer employees. Foreign investment in the cluster is very limited.
- Most inputs and equipment are imported. There is a lack of local suppliers of equipment and related services. The local supply for packaging materials is also limited.
- Supply and other relationships among the various parts of the cluster are weak. The closest relationships are between processors and their suppliers, a legacy of the Soviet era model of vertical integration. There is virtually no collaboration among processors.
- Access to information on markets and technologies is extremely limited. The flow of information appears to be mostly informal and unstructured. Many of the managers rely on personal relationships, friends, customers, as well as the media and the Internet to obtain information about markets and technologies. Information about technologies is accessed informally, through equipment suppliers, customers, or local consultants.

131. Overall, the fruit and vegetable processing cluster can best be characterized as emerging, with limited vertical and horizontal supply, marketing and other linkages, and even more limited "soft" collaborations, in terms of skills development, knowledge,

[40] "It is well understood that sound fiscal and monetary policies, a trusted and efficient legal context, a stable set of democratic institutions, and progress on social conditions contribute greatly to a healthy economy. However, these broader conditions are necessary but not sufficient, providing the opportunity to create wealth but not by themselves wealth creating. Wealth is actually created in the microeconomic level of the economy..." from Michael Porter, "Building the Microeconomic Foundations of Prosperity: Findings from the Microeconomic Competitiveness Index." 2002.

innovation and related areas. Several parts of the cluster are missing compared to similar clusters elsewhere. The legacy of strong vertical integration of industries, for example, has stifled the development of specialized transportation, trade, and financial services. The limited collaboration and extensive competition among processors has limited the scope for the development of local sources of knowledge, innovation, and skills. Key strategies that can build cluster competitiveness include the following.

1.9 Promote Inter-firm Cooperation

There is scope for increased collaboration to improve firm capabilities and promote innovation

132. The benefits of a cluster occur when the private firms and other components of the cluster develop and build relationships. Synergy between firms helps create competitive advantage for the cluster. There is scope for increased collaboration among processors and other cluster participants in terms of workforce development, development of specialized business services, joint marketing, policy advocacy, and the like. This can be used to help firms improve their capabilities and promote further innovation. Some mechanisms for strengthening inter-firm cooperation include:

- **Create a cluster working group to begin cluster organization.** Currently it is very difficult to get the necessary government approval for formation of an industry association. The cluster approach and an informal cluster organization offer a framework for effective inter-firm cooperation. This group will be involved in cluster development planning and serve as a framework to identify needs for information and technical assistance and opportunities for cooperation among firms.

- **Establish a cluster-based information system.** Participation of both the Azeri NGOs and the firms would be strengthened by providing them with information, especially specific examples, about counterpart clusters and competitiveness. Information about markets and other critical needs—such as sources of capital, training, and technology—are priorities. A good model framework is the U.S.'s cooperative extension or manufacturing extension partnership where individuals are widely dispersed among local communities.

- **Provide technical assistance to firms in a cluster setting.** Several of the international donors and NGOs are financing programs that provide management and technical assistance to Azerbaijan firms in a group setting. GTZ convenes meetings of fruit and vegetable processors, and USAID funded efforts created associations of hazelnut growers and dairy farmers. By defining and planning interventions according to the collective needs of a cluster and not only of individual firms, the government, companies, and donors can achieve economies of scale and have greater impact.

> **Box 6.1—Information and Technology Extension Services**
>
> Many nations have established offices to help small and mid-sized companies find solutions to problems, learn about new methods, and locate and filter information. In the U.S., the government established an agricultural extension service in 1914 and a manufacturing extension service in 1990, each with local offices to assist small firms. In Denmark, the Technological Institute established a Technology Information Center in each county. In Baden-Wurttemburg, Germany, the Steinbeis Foundation established more than 200 technology offices throughout the *lander*, and in the Valencia region, Spain created Technology Institutes for each of its key clusters.

1.10 Promote Innovation, Quality, and Specialization

Institutions for encouraging innovation, quality, and specialization are needed to promote cluster development

133. Exposure to the cluster approach surfaced support for collaboration among firms but did not modify participants' priorities, and promoting innovation, quality, and vertical and/or value-added specialization is not a current priority. However, developing institutions for these functions is likely to become a priority once improvements related to vertical relationships and market orientations have been made. The absence of an ability to promote innovation, quality, and specialization will constrain cluster development. Specific actions include:

- **Promote farming technologies that increase harvests.** Assuring a supply of raw materials for processing must be given high priority. The importance of supply issues means that farmers and growers will have to play a large role in the strengthening of the Azeri fruit and vegetable-processing cluster. Plans should recognize that increased harvests, more effective and sustainable agricultural practices, and in some cases, a change to more appropriate varieties of fruits and vegetables are all fundamental to development of a strong cluster. Activities to promote greater harvests should parallel efforts to develop the processing industry cluster.

- **Establish a demonstration/teaching farm for farmers and growers.** The demonstration farm was the precursor to America's cooperative extension system, a place where farmers could go to observe and try out new methods and technologies in a neutral environment without vendor bias. The site would be an open working farm that uses the latest technologies and growing methods where farmers can observe, learn about, and learn to use the most appropriate new techniques to improve productivity.

- **Establish a national laboratory for quality certifications.** The highest priority for establishment of supporting institutions should be a testing and certification laboratory that will enable Azeri producers to export to EU and other western markets. If Azeri products are going to enter increasingly demanding higher end markets, they will need to be certified. If, for example, the cluster chooses to move toward higher end "green" and organic products, the product must meet specific standards. Within the EU and in many other places, testing labs that serve all of the firms in a particular cluster are becoming more common. For example, CERMET is a testing lab for metalworking firms in Emilia-Romagna (Italy), and the Hosiery Technology Center tests socks for all companies in central North Carolina in the U.S. The testing of food products is even more important because of health and other dietary, including religious, implications.

- **Expand value-added forms of production based on locally grown products.** Some crop-based mini-clusters have formed within the regions. For example, apples and apple juice concentrate are common in Quba, tomatoes and tomato paste in Lenkaran, and pomegranates and eggplants in Ganja and Goycay. Each region has a major packaging firm. However, a cluster could conceivably include numerous primary processors whose output is purchased by a single large packager and/or numerous small and medium-sized processors that contract for packaging services. Large packagers and value-added processors could benefit from development of numerous small firms and workshops that perform initial processing of fruit and vegetable products, many of which will require packaging or be inputs for further processing.

- **Support development of a wholesale capacity.** The regional mini-clusters look to the hub in Baku for warehousing and distribution, where some firms are locating their headquarters. For reasons ranging from habit to distrust, firms tend to be reluctant to contract for warehousing and distribution services, preferring to create needed capacities in-house. To promote the specialization that creates efficiencies and promotes innovation in a cluster, donor organizations should seek opportunities to support development of firms that provide these specialized services.

- **Develop a better dialogue and a clear policy in the relationship between producers and processing firms.** The importance of supply issues means that farmers and growers will have to play a large role in the strengthening of the Azeri fruit and vegetable-processing cluster. The first step should be to establish relationships on contract basis.

1.11 High Priority Actions to Promote Cluster Development

134. The following table provides a list of high priority actions in support of the strategy recommendations on cluster development. A complete list of actions is provided in tables 7.2 to 7.5 in chapter 7.

Table 6.1—High Priority Actions for Improving Cluster and Enterprise Development

Proposed Measure/Action	Proposed Timeframe	Responsible Bodies
Implement development of the fruit and vegetable processing cluster as a pilot project • Facilitate formation of a cluster working group • Expand value-added production based on local produce • Develop wholesale capacity – warehousing & distribution • Promote farming technologies to increase harvests	2003-2005+	 MED, private stakeholders MED, MOA MED, MOA MOA
Facilitate development of industry clusters (e.g., oil and gas, garments/textiles, tourism, ICT, trade facilitation) • Initiate program of clusters development based upon a self-selecting basis • Map clusters and benchmark competitiveness • Formulate cluster development strategies • Promote inter-firm collaboration through cluster groups • Establish a national Competitiveness Council	2004-2005+	MED and private sector stakeholders
Promote access to specialized business and technical services • Promote development of business development service providers and range of technical support services at cluster- and firm-levels • Develop mechanisms to access market and technology information	2003-2005+	MED and private sector stakeholders
Promote quality and technology innovation and diffusion • Promote use of ISO 9000 and other voluntary quality certification programs • Improve accreditation standards for private labs • Build capacity of the State Agency on Standardization, Metrology and Patents • Develop technology diffusion network • Promote establishment of industry-university collaborations	2003-2005+	MED, relevant ministries, private sector, SASMP

MED: Ministry of Economic Development; MOA: Ministry of Agriculture

CHAPTER 7—IMPLEMENTATION PLAN

135. The preceding sections outlined a comprehensive, integrated strategy for stimulating sustainable development of Azerbaijan's non-oil export sector. The strategic recommendations are only valuable to the extent that they are implemented. This section forms the most important part of the overall strategy—a concrete implementation plan to ensure fulfillment of the goals and objectives outlined in the previous sections.

1.12 Prerequisites for Success

Successful implementation of this strategy will require the promotion of a common vision, genuine political will, focus, and effective dialogue with the private sector and donors

136. Implementing the proposed strategy is not a simple undertaking given the wide range of inter-related actions and numerous stakeholders that need to be actively engaged. Successfully implementing the strategy will require meeting number of basic prerequisites:

- **Common Vision.** Successful implementation requires that the implementing bodies and related stakeholders—including the private sector, NGOs, and the donor community—buy-in to the process and support its realization. This will require coordination and dialogue among the various public and private sector actors. A "trade-specific" workshop or seminar to discuss the report with relevant parties, including the donor community and civil society, with a view to raising the profile of trade issues within the overall context of the SPPRED.

- **Genuine Political Will.** As highlighted throughout this study, the Government of Azerbaijan has demonstrated its commitment to reform and private sector development. The Government needs to show a sustained high level of commitment to the project and to continued economic reform, both in words and deeds. Rapid implementation is required in a number of key areas in order to lock-in the reform process and take advantage of opportunities that might otherwise erode in a highly competitive global marketplace. While this initial study was drafted by the World Bank, the GOA must provide the right leadership throughout implementation stages. Government ownership of the process is a *sine qua non* condition for success.

- **Focused Initiatives.** To reap the greatest benefits, actions need to focus on the most critical of the proposed initiatives. Prioritizing actions will be key to maximizing the returns to the economy. In the implementation phase, there will need to be an annual review of ongoing actions, and their priority will need to be re-evaluated in accordance with the effect they are considered to be having on the achievement of the key strategies.

- **Appropriate Institutional Framework and Public-Private Dialogue.** Implementation does not depend on a series of independent actions by different ministries and government agencies: on the contrary, many of the policy actions require coordinated action between different government bodies, as well as with donor organizations and private sector and other stakeholders. Given the wide range of actors required to implement this strategy, an effective institutional framework needs to be developed to oversee implementation.

- **Sustainable Development.** The sustainability of the strategy will be dependent on developing a framework to manage risks and monitor implementation and impacts. Socio-economic impacts—in terms of poverty, environment, women in development, etc.—are particularly important. Implementation of the SPPRED is a necessary condition to achieving he objectives of this trade-oriented strategy.

1.13 Establishing a Framework for Implementation

137. It is important that an effective institutional mechanism be established for implementation of the INOTIS initiative. While there are a number of possible alternatives, any such mechanism should incorporate two main characteristics. First, it has to be clearly coordinated with SPPRED—as the key initiative for development of the non-oil sector—and therefore linked to the SPPRED Secretariat, which has the overall responsibility for coordinating the implementation of the SPPRED. Second, it must embody a mechanism for public-private sector dialogue and action. While the role of the public sector is critical, effective public-private dialogue is equally important. An appropriate mechanism needs to be linked to the highest levels of Government and the private sector, as well as international and bilateral donors, NGOs and other stakeholders.

138. A possible mechanism is to vest the newly established Entrepreneur's Council with the responsibility for implementation of the INOTIS initiative. The Council is a public-private mechanism with a broad mandate to stimulate economic activity in the non-oil sector, comprised of leading members of the business community and Government, chaired by the Minister of Economic Development. The newly established Secretariat of the Council is linked to the SPPRED Secretariat and the new IPA.

1.14 Next Steps

139. This strategy and action plan is only the first step of the implementation process. The first step has already been achieved, which was the holding of a national workshop in June 2003, including participants from Government, business community, donors and NGOs. The workshop reviewed the findings, policy recommendations, and action plan presented in this study. Critical next steps toward bringing this plan to fruition include:

Next steps to implement INOTIS are , high level endorsement of the strategy, establishment of the implementation mechanism, and selection of priority initiatives, and increasing public awareness

- **Government and Business Community Endorsement.** High-level endorsement and approval of the overall strategy outlined in this report is a prerequisite for launching the implementation plan. Endorsement of the strategy by the Government and the Entrepreneur's Council will demonstrate ownership of and commitment to the agenda. At the same time, the institutional mechanism for implementation of INOTIS should be announced.

- **Selection of High Priority Initiatives and Finalization of the Implementation Plan**. The proposed implementation plan presented in this document needs to be finalized, and priority initiatives identified. This should be done through discussions with key ministries, business community and other stakeholders. Priority initiatives should be further detailed and funding and technical assistance requirements defined, with technical assistance and support. These need to be discussed with prospective donors, as donor support must be a major source of project funding. A number of ongoing and planned donor-funded projects will provide an important foundation of support.

Table 7.1—Strategy Endorsement and Launch

Key Event	Timeframe	Responsibility
Endorsement of the INOTIS strategy	December 2003	Government and Entrepreneurs Council
Design and establishment of an institutional mechanism for strategy implementation	December 2003	Government and Entrepreneurs Council
Finalization of implementation plan and selection of priority initiatives	January-April 2004	INOTIS implementation mechanism, MED, concerned ministries, donors and other stakeholders
Public awareness campaign	January 2004-Ongoing	INOTIS implementation mechanism and others

- **Launching of a public awareness campaign.** A public awareness campaign should be designed and launched to begin the process of public education and consensus building around the INOTIS initiative.

1.15 Monitoring Progress

Given the wide range of strategies and actions, implementation by the various actors will need to be effectively coordinated and monitored

140. Given the wide range of strategies and actions, implementation by the various actors will need to be effectively coordinated and monitored. During the course of implementing a strategy, it is normal for changes to be made. Previously unidentified issues may emerge and/or new strategies may have to be pursued if existing ones fail to produce the desired results. The implementation process is expected to be dynamic, and management and oversight of it will therefore need to employ flexibility and adaptation on a continuous basis. A system of monitoring and evaluating the progress of the implementation of the agreed upon action plan will need to be established within the Government and in close cooperation with the monitoring of the SPPRED.

141. The development of monitoring indicators for effectively measuring the economic impact of this strategy is the first step toward ensuring sustainability. The Action Plan, presented in the following section, provides action-specific monitoring indicators that will enable stakeholders to monitor progress in fulfilling each of the strategy components. In addition to these micro-level indicators, effective impact measurement will

Box 7.1—Checklist of Macroeconomic Indicators

Possible indicators include:

- External non-oil trade flows (imports, exports, re-exports)
- Foreign and local direct investment in non-oil sectors
- Number of new enterprises in non-oil sectors (gross receipts, wages and salaries, imported inputs, local expenditures)
- SME investments (value and number of enterprises) and exports
- Value-added in non-oil sectors
- Employment in non-oil sectors
- Labor productivity in non-oil sectors
- Labor migration trends
- Regional development
- Poverty levels
- Public expenditures on implementation

require the monitoring of a range of macro-level, socioeconomic indicators, as well. Possible macro-indicators are summarized in Box 7.1.

1.16 Integrated Action Plan

142. The framework for implementation is based on the following key principles:

The Action Plan provides an integrated framework for implementation, including assignment of responsibilities, prioritization of actions, monitoring indicators, and time-bound targets

- **Assignment of Responsibility.** Responsible parties are named for every key action, so that there is direct accountability for results.

- **Prioritization of Actions.** Priorities are indicated for each policy action (1-high, 2-medium and 3-low priority). These priorities refer to the relevance and importance of the action in the strategy to stimulate the non-oil sector. The priorities have been ranked within each section of the action plan matrix. Thus, an action marked as high priority, is considered high priority within the range of actions listed for that component, but does not necessarily have the same priority as an action marked as high priority in a different component. Thus, the priority of actions cannot be compared across components.

- **Monitoring Indicators.** Indicators may be either a monitoring indicator, to be used to assess the impact of the policy action, or may be outcome indicators, used to judge whether the policy action has been completed.

- **Time-Bound Targets and Goals.** Start-up and finish dates are defined for key actions. These targets and goals are realistically set, and will be taken seriously by all concerned parties.

Tables 7.2 through 7.5 on the subsequent pages present detailed actions designed to encourage the development of the non-oil export sector, including the assignment of responsibilities, key monitoring indicators, and timeframes for implementation.

Table 7.2—Action Plan for Trade Policy and Market Access

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Tariff Reform Objectives: Reduce tariff dispersion to reduce distortions to producer and consumer incentives						
POL-1: Enhance tariff policies -Reduce level of tariff dispersion -Shift toward adoption of a uniform tariff rate	2	MED, Tariff Council	2003-2005	Reduction in level of tariff dispersion; Adoption of uniform tariff rate	None	**Not applicable**
POL-2: Improve capacity of Tariff Council to undertake economic analysis	2	Tariff Council	2003-2005+	Improved capacity	Capacity-building and support for economic analysis	**None**
WTO Accession Issues						
Subsidies and Investment Policies (Subsidies and Countervailing Measures and Trade Related Investment Measures, TRIMS) Objectives: Ensure that any subsidies are WTO compliant						
POL-3: Revise existing laws to ensure that subsidies and investment policies are in line with WTO requirements	3	MED	2004-2005	Legislation revised in line with WTO	Study to catalog subsidies and investment policies recommend reforms, evaluate fiscal & economic impacts	US TDA WTO program
Standards [Technical Barriers to Trade (TBT) and Sanitary and Phytosanitary Measures (SPS)] Objectives: Azerbaijan is close to meeting WTO requirements, but needs to address larger issue of meeting international standards to ensure Azeri products are accepted in export markets outside CIS						
POL-4: Enhance compliance with WTO TBT and SPS agreements • Revise technical regulations and sanitary and phytosanitary standards in line with international practices • Establish enquiry points on technical regulations, conformity assessment procedures, SPS and TBT measures • Join Codex Alimentarius • Enhance effectiveness of State Standardization & Metrology Agency • Provide information and promote use of international standards	1	MED, AZPLAC, SSMA, SVC, AZPLAC, business associations	2003-2005+	-Legislation revised in line with WTO agreements -Member of Codex Alimentarius -SSMA and SVC capabilities improved -TBT and SPS enquiry points established	(1) Assistance to convert GOST standards to voluntary standards and international norms (2) Working Paper and recommendations to restructure and strengthen the standards organization and relationship with NGOs involved in certification (3) Capacity-building and support to implement new standards policies and effective standards institutions (4) Assistance in joining Codex Alimentarius	(1) US TDA WTO program (2) World Bank PSSP (3) PSSP—Gov't of Turkey TA (4) US TDA WTO program

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Customs Valuation Objectives: Ensure customs valuation rules are WTO-compliant						
POL-5: Revise customs law and related regulations and instructions to introduce WTO-compliant valuation method (transaction value)	1	SCC, MED	2003-2004	Customs valuation in line with WTO	(1) Review of customs valuation legal and regulatory framework and drafting of proposed revisions (2) Training, public awareness and other implementation support	(1) US TDA WTO program **(2) None**
TRIPS, Trade Related Intellectual Property Objectives: Legislation is largely in compliance, but must improve monitoring and enforcement						
POL-6: Revise existing laws related to TRIPs issues (customs code, anti-monopoly law, copyrights, etc) and/or prepare new WTO compliant legislation	2	MED, Patent Office, Copyright Agency	2004-2005+	WTO compliant legislation implemented Reduction in IPR infringements	(1) Review and revision of relevant legislation for WTO compliance; preparation of required laws (2) Institutional strengthening and capacity building of Patent Office, Copy right agency and related bodies; development and implementation of public awareness and outreach campaign	(1) US TDA WTO program (2) World Bank PSSP
Agriculture Objectives: To develop a coherent trade policy and strategy for agriculture within the WTO framework						
POL-7: Develop trade and economic strategy for agriculture issues in the context of WTO accession	1	MED, MOA	2003-2004	Agriculture trade strategy developed and implemented	Assist in development of an agriculture trade strategy for WTO accession, including calculation of aggregate measure of support; negotiating approach, etc	**None**
Other WTO-related Issues Objectives: To accelerate the pace of the WTO accession process						
POL-8 Complete Working Party negotiations and prepare offer on Goods	1	MED	2003-2004	Working Party negotiations completed	Support to answer questions and negotiations; preparation of Goods offer	US TDA WTO program
▪ Preparation of documentation on Agriculture, Services, SPS/TBT, TRIPS, update Legislative Action Plan ▪ Preparation of pronouncements on Goods and Services ▪ Preparation of Draft Working Party Report			2003 2004 2005			

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Regional Trade (EU, CIS) Objectives: To increase gains to Azerbaijan from regional trade agreements						
POL-9: Increase utilization of EU GSP and Partnership & Cooperation Agreement ▪ Public awareness re documentary requirements ▪ Removal of administrative constraints ▪ Enter into discussions with other beneficiaries to revise EU treatment of processed agricultural products	1	MED	2003-2004	Increased utilization of GSP Treatment of processed agriculture products re-negotiated	Assistance to identify constraints to underutilization; development of solutions; and implementation and outreach	EU Tacis program of support of the PCA
POL-10: Re-negotiate CIS FTAs ▪ Define and limit exclusions ▪ Clarify provision limiting benefits to tax residents of FTA areas	1	MED	2004	CIS FTA re-negotiated	(1) Study to assess impacts of changes (2) Implementation support in terms of negotiations and public awareness	**None**

AZPLAC: Azerbaijan Policy and Legal Advice Centre
MED: Ministry of Economic Development
MOA: Ministry of Agriculture
SCC: State Customs Committee
SSMA: State Standards and Metrology Agency
SVC: State Veterinary Committee

Table 7.3—Action Plan for Trade Facilitation and Transport

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Customs Operations Objectives: Customs reform plan in place that will improve operations, but need to fully implement; reform customs legislation and procedures to increase trade—need to introduce streamlined/simplified procedures to facilitate trade; intra-regional cooperation needs to be strengthened to ensure effective control and facilitate regional trade						
FAC-1: Support SCC organizational reform efforts • Improve human resource management; develop plan for performance-based salary and compensation improvements • Introduce performance monitoring • Establish SCC Reform Committee with private sector participation • Implement organizational restructuring efforts in line with Kyoto-compliant customs code	1	SCC, MED	2003-2005	Customs reform plan implemented	Comprehensive customs capacity building program including: • Organizational restructuring and implementation support • Performance measurement • Human resource development • Other capacity building	**None**
FAC-2: Enhance Customs legal, regulatory qnd framework *Short-term* • Expand implementation of advance declaration processing • Introduce paper-based risk management system as a precursor to automated system • Join the revised Kyoto convention and revise the Customs Code, regulations and instructions to (i)	1	SCC, MED, Border police, MOA, private trader community and other stakeholders	2003-2005+ 2003-2004	New Kyoto-compliant Customs Code implemented	(1) As part of comprehensive customs capacity building program (above): • Assistance in revising Customs law and related legislation • Preparation of regulations and instructions • Review of key processes and business process reengineering effort • Strengthening of risk assessment approaches and enforcement • Strengthening of audit function and enforcement • Accompanying staff training and public awareness and outreach	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Introduce simplified procedures for consolidated shipments; (ii) enhance Customs authority regarding post-importation control of trade intermediaries; (iii) eliminate duplication in Customs offences and sanctions in the Administrative Code and the Customs Code; (iv) clarify requirements for processing timeframes and documentation; (v) entitle importers to clear goods anywhere; (vi) strengthen SCC transit management authority; (v) consolidate customs charges in Customs Code and enhance penalties and sanctions *Medium-term* • Direct trader input for all users • Strengthen valuation & classification capacity • Train private operators and intermediaries • Harmonize control mechanisms with neighboring countries • Single processing & payment window			2004-2005+		efforts for the trader community • Training support	
FAC-3: Measure transit service quality • System definition • Training • Independent audit	2	SCC	2003-2005	New system installed and implemented	(1) Study to define systems requirements (2) Equipment procurement (3) Training	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
FAC-4: Introduce and implement a comprehensive Customs automation system on a phased basis	1	SCC, other border agencies	2003-2005+	International class Customs automation system implemented	(1) IT study to • Update needs assessment and functionality required of SCC and government agencies at border • Systems analysis and business process mapping • Development of system specifications and functionality • Feasibility assessment (2) Preparation of bid documents for systems integration and development (3) Development, installation and support of a customs automation system such as ASYCUDA	**None**
FAC-5: Strengthen public-private dialogue : ▪ Merge AZERPRO and TRACECA Azerbaijan committee ▪ Define Ombudsman mechanism	1	MOT, MED, SCC, Port of Baku, ADDY, Freight Forwarders' Association	2003-2004	Merger of AZERPRO and TRACECA committee Ombudsman mechanism established	On-going support to enhance functioning of the AZERPRO committee	Part of World Bank regional trade and transport facilitation initiative

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
FAC-6: Enhance cross border trade facilitation • Align operating hours with demand and rationalize roles of border agencies • Redefine objectives of border agency controls & allow cross-designation of border agencies • Establish multi-agency local project teams • Publicize border agency requirements to users • Identify and implement a legal solution to post Azeri and Georgian customs officers at ports of entry on a reciprocal basis • Draft bilateral agreements with neighboring countries for trade facilitation policies and procedures at specific border points	2	SCC, MED, MOA, Border Police	2004-2005	Improvement in border control operations Reduction in time for clearances	(1) Assessment of border control operation and recommendations for cooperation (2) Implementation support – cross-training and equipment support	TRACECA (Study on Harmonization of Border Procedures) TRACECA web site & "hotline" initiative Transparency International to produce booklet/ leaflets
FAC-7: Improve anti-smuggling activities • Reduce duty-free allowance for individuals • Regulate suitcase trade—review procedures; revise exemptions & penalties; strengthen enforcement capacity	2	SCC	2003-2005	Mobile enforcement units established Improved regulation of suitcase trade	(1) Support for legal/institutional development (2) Equipment procurement	US Export Control & Border Security Activities

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Transportation and Trade Promotion Objectives: Strengthen transport sector through separation between regulatory functions and operations; strengthen intra-regional transport links and facilitate trade through regional cooperation; improve infrastructure to facilitate trade						
FAC-8: Develop a comprehensive strategy for the transport sector and build capabilities of ministry of transport	1	MOT, MED	2003-2005+	Transport strategy developed Ministry of Transport strengthened	(1) Study to assist in preparation of a strategy and action plan to restructure the transport sector, drawing upon inputs from TRACECA, EBRD, World Bank and others (2) Long-term institutional strengthening project for MOT	**None**
FAC-9: Promote competition in Caspian shipping services and ports	1	MOT, MED	2003-2005	Increased competition	(1) Study to identify options for deregulation and private investment in Caspian shipping services and ports (2) Transactional support	**None**
FAC-10: Rehabilitation of key transport infrastructure facilities (*) • Key highways • Trans-Caucasus railways • Baku sea port • Nakhchevan airport	1	MOT, MED	2003-2005+	Infrastructure rehabilitated	(1) Feasibility and design studies (2) Project financing (3) Engineering and design studies (4) Implementation support and supervision	EU Tacis, TRACECA, EBRD, ADB, IsDB, Kuwait Fund, World Bank
FAC-11: Develop and implement training program to ensure professional competence of transport operators	3	MOT, SCC	2003-2005	Training program for transport operators designed and implemented	Institutional support/ capacity building	TRACECA
FAC-12: Establish a bonded warehouse mechanism	1	MED, SCC	2003-2004	Bonded warehouses established	Assistance to review and finalize draft regulation and preparation of regulation and detailed instructions	**None**
FAC-13: Establish a special economic zone regime and promote first private zone as a pilot project	1	MED, SCC	2003-2005	Special economic zone established	(1) Assistance to review and finalize draft regulation and preparation of regulation and detailed instructions (2) Study to design organizational framework for regulatory body to administer zone regime (3) Transactional support to facilitate implementation of first zone by a private operator as a pilot	**None**

ADDY: State Railway Company
MED: Ministry of Economic Development
MOA: Ministry of Agriculture
MOT: Ministry of Transport
SCC: State Customs Committee; (*) From SPPRED

Table 7.4—Action Plan for Business Environment

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Business Start-up Objectives: Revise Company Law to provide for improved corporate governance, greater flexibility, and protection of minority shareholder rights; ensure that recent decrees re business registration and licensing have intended effect through systematic streamlining of procedures						
MACR-1: Finalize draft investment law • Clarify need for and scope of investment approvals • Remove need for registration of FDI • Eliminate discretionary incentives • Clarify role of investment promotion agency—promotional rather than regulatory	1	MED	2003	Amended investment law implemented	Revise draft legislation in line with recommendations	FIAS
MACR-2: Revise Company Law to improve provisions on corporate governance, business flexibility and shareholder protection	1	SSC, MED	2003-2004	Amended Company Law implemented	Review and make recommendations on draft legislation	**None**
MACR-3: Streamline company registration procedures • Reduce discretion in procedures and set time limit for registrations • Provide written guidelines for investors • Evaluate viability of a private notarial system • Set up one stop shop for registrations • Develop on-line registration system	1	Company Registry, MED	2003-2004	Reduction in average time to register Increase in number of registered companies	(1) Assistance in simplifying key processes and procedures (2) Training and public awareness	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Site Acquisition & Development Objectives: Strengthen land market through establishment of unified cadastre and improving procedures for land acquisitions and site development						
MACR-4: Reform real property law to introduce financing mechanisms and mortgages for non-agricultural land	1	SCLC, MED	2003-2004	Amended legislation implemented	(1) Assessment and recommendations on financing mechanisms (2) Study to introduce centralized register for mortgages on land and movable property	**(1) None** (2) World Bank planning study
MACR-5: Improve access to land • Accelerate privatization of urban property • Encourage development of private property market • Establish private real estate association to provide professional certification	1	Dept of Privatization, Municipalities Private real estate operators	2003-2004	Increased transfers of urban property to private sector Number of certified professionals	Development of strategy/ program for urban property privatization Recommendations on certification and implementation support	**None**
MACR-6: Improve land registration/titling • Proceed with development of unified cadastre • Streamline title transfer procedures and enhance transparency	1	SCLC, MED, BTI, Baku Mayor's Office, Privatization Agency	2003-2004	Unified cadastre established	(1) Review and provide recommendation on title registration procedures (2) Implementation support for development of cadastre	(1) **None** (2) Ongoing through EU Tacis
MACR-7: Enhance building and site development regulations and procedures • Reform building regulations to international standards • Streamline construction and occupancy permitting • Create formal land use and zoning framework • Develop effective environmental protection mechanisms		MED, SCLC, SCAC, Municipalities, Dept of Fire Safety, SED/MOH		New building regulations implemented Reduction in average time required for approvals Zoning framework created Effective EIA framework established	(1) Development of regulatory framework for land use planning and preparation of zoning plan (2) Revision of building regulations (3) Development of revised environment protection framework	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
MACR-8: Facilitate Participation in Utilities • Increase competition in telecommunications and IT services • Initiate privatization and demonopolization of Aztelcom • Develop legal framework for ICT and e-government operations • Complete the process of removing indirect subsidies to utility providers	1	MED	2003-2005	Improved access and quality of utilities	(1) Prepare regulatory reviews & recommendations in each sector (2) Implementation support, incl. project development, marketing, deal structure	EBRD, USAID, IMF, IFC, EU Tacis, JICA, IsDB
MACR-9: Promote Private Industrial Parks • Undertake land use/site selection study • Develop regulatory framework for industrial parks & public-private partnership • Encourage establishment of private parks	1	MED	2003-2005	Legal and regulatory framework for private industrial parks developed	(1) Assistance to review and finalize draft regulation and preparation of regulation and detailed instructions (2) Study to design organizational framework for regulatory body to administer regime (3) Transactional support to facilitate implementation of first private park	**None**
MACR-10: Increase public investment in electricity, gas, and water public networks (*)	1	MED	2003-2005+	Improved access and quality of utilities	Develop infrastructure investment plan	EBRD
Labor Market Objectives: Generate employment through pro-growth labor market policies, including greater flexibility and focus on human resource development						
MACR-11: Enhance Labor Market Policies and Labor Skills • Revise restrictive provisions on hiring and dismissal of workers; move forward with labor re-deployment schemes • Eliminate general license for expatriate workers • Review educational curricula to better match industry needs • Promote industry-education collaborations	1	MLSP MOEd, private sector	2004-2005+	Amended labor code implemented Program for industry-university collaboration developed	(1)Review labor code and draft amendments (2) Assistance in reform of educational curricula	(1) **None** (2) World Bank education reform project

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
MACR-12: Conduct needs assessment for education/ skills training (*) • Redesign vocational training system • Organize training courses according to regional characteristics • Establish distance learning centers	1	MLSP, MOEd, higher education institutes	2003-2005+	Strategy for vocational training being implemented New training courses established Distance learning centers established	(1) Needs assessment and recommendations (2) Implementation support	World Bank education reform project
MACR-13: Facilitate entry into labor market (*) • Establish new Advisory Services & Labor Exchange Offices for job-seekers • Improve system of training & training services, incl. establishment of regional centers	1	MOL, MOEd	2003-2005+	Advisory Services and Labor Exchange Offices established Establishment of regional training centers	(1) Needs assessment and recommendations (2) Implementation support	WB Labor Deployment Strategy
Taxation Objectives: New Tax Code is improvement, but can be further strengthened to address gaps and/or inconsistencies with other legislation; generate growth through reduction in tax burden on business; improve filing and auditing procedures to boost compliance and reduce burden on business						
MACR-14: Revise Tax Code and implementing regulations: • Address remaining gaps/ inconsistencies with other legislation (e.g. Insurance Law re insurance brokerage services) • Increase and clarify allowable deductions for business expenses • Simplify tax regime for small enterprises (*) • Consolidate regulations and harmonize with Tax Code (*) • Include provision on interest payments for overpayments (*) • Improve dispute settlement provisions – impartial appeals	1	MOTax	2003	Amended Tax Code implemented	(1) Review of Code and make recommendations (2) Fiscal and economic impact assessments (3) Draft amendments	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
mechanism (*) • Incorporate administrative law re taxation into Code (*) • Allow use of International Accounting Standards • Clarify VAT offset rules						
MACR-15: Simplify filing and collection procedures • Simplify tax forms • Increase use of no-contact filing (mail, electronic)	1	MOTax	2003-2004	Reduction in filing times	(1) Assessment and recommendations for process re-engineering (2) Implementation support	**None**
MACR-16: Reduce number of audits on basis of risk-based system – • Focus auditing resources on non-registered and non-compliant taxpayers	1	MOTax	2003	Reduction in audits Reduction in complaints	(1) Assessment and recommendations for process re-engineering (2) Implementation support	**None**
MACR-17: Streamline VAT refund mechanism	2	MOTax	2003-2004	Reduction in time for VAT refunds	(1) Assessment and recommendations for process re-engineering (2) Implementation support	**None**
MACR-18: Increase understanding/ public awareness of new Tax Code (for Tax officials, Tax professionals, General public awareness) • Provide training seminars & workshops • Issue guidelines and interpretive provisions	1	MOTax	2004	Number of training seminars conducted	Provision of training workshops, seminars	**None**
MACR-19: Provide training to auditors • Auditing procedures • Taxpayer rights and obligations • Implementation of IAS	1	MOF	2003	Training sessions completed	Provision of training	EU Tacis program in support of IAS, possible World Bank IDF grant
MACR-20: Complete Tax Treaties w/US and other major sources of investment	2	MOTax, MOFA	2004	Tax Treaty with US and others negotiated	Assistance in negotiations	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Competition Policy Objectives: Competition law in place but can make improvements in monitoring/enforcement; increase SME participation in government procurement						
MACR-21: Strengthen regulatory capacity of Dept. of Antimonopoly Policy • Develop analytical tools & framework • Develop monitoring capacity • Strengthen enforcement capacity	2	MED	2004	Database established Analytical tools implemented Authority to enforce exercised	(1) Review of competition-related legislation and regulations (2) Drafting of revisions and implementing instructions (3) Improve monitoring and enforcement (4) Training and public awareness campaign	**None**
MACR-22: Increase SME participation in government procurement	2	MED, MOF	2005	Increased participation of SME in government procurement	(1) Assessment of procurement rules and mechanisms, (2) Recommendations to increase SME participation	EU Tacis, World Bank
Contract Enforcement Objectives: Increase capacity of Economic Courts to deal with commercial disputes; introduce Alternative Dispute Resolution						
MACR-23: Enhance contract enforcement mechanisms • Establish Alternative Dispute Resolution service • Education & training of arbitrators & lawyers • Creation of credentialing mechanisms • Development of fee structure • Increase public awareness	1	MOJ	2003-2005+	ADR service established and functioning Increased confidence in contract enforcement	(1) Feasibility analysis and needs assessment (2) Implementation support	**None**
MACR-24: Judicial reform • Improve judicial oversight • Training of Economic Court judges • Improve enforcement • Improve case management	1	MOJ	2003-2005+	Improved capacity of Economic Court Increased confidence in judiciary	(1) Conduct comprehensive judicial review and reform strategy (2) Implementation support	EU TACIS, American Bar Association

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Access to Credit Objectives: Encourage development of long-term and other credit facilities for SMEs						
MACR-25: Increase availability of SME long-term credits through micro-enterprise and venture capital funding mechanisms/ institutions	1	MED	2003-2005	Increase in credit to SMEs	(1) Needs assessment and project design (2) Implementation support	EBRD, EU Tacis, IFC, KfW, Black Sea Trade and Development Bank, LFS, ADB, Swiss Govt Will also be examined through World Bank PSSP
MACR-26: Reform leasing legislation to protect lessor rights	2	MED	2003-2004	Amended leasing legislation implemented	(1) Review legislation and make recommendations (2) Draft amendments	IFC/PEP
MACR-27: Improve framework for secured transactions • Develop coherent legal framework governing collateral • Establish comprehensive movable property registry	1	MED	2003-2004	Single, integrated movable property registry established	(1) Review legislation and make recommendations (2) Draft amendments	(1) To be implemented by World Bank (2) Movable property registry will be addressed under FSTA II
MACR-28: Reform Credits Law to allow foreign companies to extend credit	2	MED	2003-2004	Amended Credits Law implemented	(1) Review legislation and make recommendations (2) Draft amendments	Will be done under FSTA II
MACR-29: Training to private sector in IAS, financial management	2	Private sector business associations	2003-2004	Training provided	(1) Provision of training seminars/workshops	EU Tacis
MACR-30: Develop and encourage mechanisms for non-cash transactions, such as a smart card system	2	NBA	2003-2004	Mechanism for non-cash transactions established and implemented	(1) Conduct needs assessment and design program (2) Implementation support	Will be done under FSTA II
MACR-31: Establish credit bureaus	1	NBA	2003	Credit bureau established	(1) Conduct assessment and design framework (2) Implementation support	Bidding procedure has already started under the FSTA

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
MACR-32: Continue banking sector reform/restructuring • Continue privatization • Encourage new privately-owned banks • Improve banking supervision • Develop banking infrastructure	1	MED, MOF, NBA	2003-2005+	Banks privatized New private banks established, incl. foreign-owned banks Legal framework amended Key infrastructure established	(1) Ongoing implementation support	IMF, EBRD, USAID, ADB, EU Tacis; World Bank under FSTA
Other SME Support Objectives: Improve environment for SME development						
MACR-33: Establish entrepreneur support centers in regions (*)	2	MED, Relevant Ministries & organizations	2003-2005+	Increase in number of private enterprises in regions	(1) Design framework (2) Implementation support	UNDP, IFC, World Bank PSSP
MACR-34: Establish information database for entrepreneurs (*)	3	MED, STATCOM	2003	Database established	(1) Design framework (2) Implementation support	World Bank PSSP
MACR-35: Develop framework for formation of professional association of entrepreneurs in regions (*)	3	MED	2003	Associations established	(1) Draft legislation (2) Implementation support	World Bank PSSP
MACR-36: Establish local market infrastructure for entrepreneurship, incl. consulting, training, information, trade fairs (*)	1	MED, Relevant Ministries	2003-2005+	Infrastructure established	(1) Conduct needs assessment and design programs (2) Implementation support	EU Tacis
MACR-37: Prioritize SME Development Program actions	2	MED, Relevant Ministries	2003	Actions prioritized	Review of program and recommendations on implementation strategy	**None**
Governance Objectives: Improve public sector governance						
MACR-38: Increase private sector/NGO participation in policy-making and programs relating to business environment • Support to Entrepreneurs' Council • Capacity building for effective dialogue - skills in policy analysis, advocacy and outreach	1	MED, private sector, NGOs	2003	Increased private sector and NGO participation in reform	Implementation support – capacity building for effective participation	**None**

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
MACR-40: Develop legislative and institutional framework to combat corruption	1	PMO, MED, Relevant Ministries	2003	Reduction in corruption	(1) Draft legislation (2) Implementation support	**None**

MED: Ministry of Economic Development
MENR: Ministry of Ecology and Natural Resources
MOC: Ministry of Communications
MOEd: Ministry of Education
MOF: Ministry of Finance
MOFA: Ministry of Foreign Affairs
MOH: Ministry of Health
MOJ: Ministry of Justice

MOTax: Ministry of Taxes
NBA: National Bank of Azerbaijan
PMO: Prime Minister's Office
SCAC: State Construction and Architecture Committee
SFD: State Fire Department
SSC: State Securities Committee
STATCOM: State Statistical Committee
(*) From SPPRED

Table 7.5—Action Plan for Industry Cluster Development

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
Fruit and Vegetable Processing Cluster						
Inter-Firm Cooperation Objectives: Increase cooperation between cluster actors to promote common interests; improve management and marketing skills throughout cluster						
MICR-1: Create and implement cluster working group	1	Public and private sector stakeholders	2003	Working Group established	(1) Strategic planning assistance to finalize plan (2) Seed financing on a matching basis	**None**
MICR-2: Establish cluster-based information system • Develop extension partnership program	2	Private sector firms, business associations, other participants in cluster working group	2003-2004	Information system established	(1) Technical assistance to design information systems and partnership program	**None**
MICR-3: Upgrade management, technical and marketing capabilities of cluster firms	1	Private sector firms, business associations, other participants in cluster working group	2003-2004	Training sessions conducted	(1) Design and delivery of training programs in areas of collective interest to cluster firms	GTZ, but not at cluster level
Promote Innovation, Quality, Specialization Objectives: Create framework for quality control/product certification; development of specializations and value-added products						
MICR-4: Establish and finance national laboratory for quality certifications for domestic & foreign products • Conduct feasibility study, assessment requirements • Facilities/equipment procurement • Implementation support	2	MED, MOA	2003-2005	National laboratory established	(1) Conduct feasibility study, assessment requirements (2) Facilities/equipment procurement (3) Implementation support	World Bank PSSP
MICR-5: Expand value-added forms of production based on local produce • Conduct feasibility study/needs assessment • Implementation support	1	MED, MOA	2003-2005	Increase in exports of value-added production	(1) Conduct feasibility study/needs assessment (2) Implementation support	USAID, GTZ
MICR-6: Develop wholesale capacity – warehousing & distribution	1	MED, MOA	2003-2004	Wholesale capacity established	(1) Conduct feasibility study/needs assessment (2) Implementation support	**None**
Strengthen Supply Chain Objectives: Increase yields of raw materials; develop more effective contracting mechanisms; increase dialogue between producers and processors						
MICR-7: Promote farming technologies to increase harvests	1	MOA	2003-2005	Harvests increased	(1) Conduct feasibility study (2) Implementation support	EU Tacis

Proposed Measure/Action	Priority	Responsible Bodies	Proposed Timeframe	Monitoring Indicator	Technical Assistance Support Activities Proposed	Coverage by Existing or Proposed TA
MICR-8: Establish demonstration/ teaching farm	2	MOA	2005	Demonstration farm established	(1) Monitor progress (2) Develop/implement new programs where required (see above)	USAID, EU Tacis World Bank PSSP
MICR-9: Improve supply linkages • Develop better dialogue between producers and processors • Develop new contracting mechanism	2	MOA, MED, private sector	2003-2004	New contracting mechanism developed	(1) Develop new contracting mechanisms	GTZ, USAID
Develop Additional Cluster Strategies Objectives: Cluster framework is valuable – should be applied to other promising clusters to build competitiveness						
MICR-10: Develop cluster studies/programs for other industries. *Potential clusters include:* • Oil and gas • Garments/textiles • Tourism • ICT	1	MED, relevant ministries, private sector	2003-2004	Cluster studies completed	(1) Conduct cluster studies (2) Implementation support	**None**

MED: Ministry of Economic Development
MOA: Ministry of Agriculture

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Appendix A—Ongoing and Planned Trade Capacity Building-Related Analyses and Initiatives

TCB Category	Sub-Category	Donor(s)	Counterpart/ Beneficiary	Type of Assistance	Date/ Duration	Main Activities
Investment						
Investment Policy Review	Investment environment	DFID	MED	Diagnostic study	2001	Review of the investment climate
Revision of investment law	Inward investment	FIAS	MED	Analysis of legislation as part of FIAS report	2002	Review and proposed revisions of investment law
Analysis of foreign investment environment	Investment environment	FIAS	MED	Diagnostic study	2002-03	Analysis of investment environment including survey of leading foreign and local investors
Administrative Barriers Report	Investment procedures	WB	MED	Diagnostic study (undertaken for this report}	2002-03	Mapping and analysis of all regulations and procedures affecting entry and start-up of a new (foreign) enterprise
Foreign Investment Conference	Investment Conference	IFC/Swiss Government	MED	Organization of conference	May 2003	Conference to promote FDI in the non-oil sector
Modernization of the Tax System	Taxation	EU Tacis	Ministry of Taxation	Long term technical advisory project	2003-05	Review of the tax code; strengthening of tax administration
Trade						
Support for EU Partnership and Cooperation Agreement	Market Access	EU Tacis	MFA	Long term technical advisory project	2000-02	Assistance to understand and implement PCA provisions Broadened to support WTO accession (mainly translation of laws and some analysis of key issues)
Evaluation of EU and CIS Market Access Arrangements	Market Access	WB	MED	Analysis undertaken for this report	2003	Analysis of EU PCA provisions and CIS FTA
Analysis of Economic Benefits of WTO Accession	Market Access	WB	MED	Analysis undertaken for this report	2003	Analysis of the economic benefits and costs to Azerbaijan from WTO accession
Support for WTO Accession	Market Access	US TDA	MED	Long term technical advisory project	2003-04	Analysis and revision of key laws to make them WTO-compliant
Trade and Transport Facilitation						
Transport Corridor Europe Caucasus Asia (TRACECA)	Trade and transport facilitation	EU	MED MOT	Long term technical advisory project	1992-present	Technical assistance on a wide range of transportation and trade facilitation issues Investments in cargo equipment; port facilities and a variety of areas
Evaluation of the State Customs Committee	Customs	Gov't (IMF supervised)	State Customs Committee	Diagnostic study	2002	Analysis of organization structure, functions, activities and effectiveness of SCC

TCB Category	Sub-Category	Donor(s)	Counterpart/ Beneficiary	Type of Assistance	Date/ Duration	Main Activities
						Analysis of key customs procedures including scope for automation
Trade and Transport Facilitation in the South Caucasus	Trade and transport facilitation	WB	AZ PRO-Committee for Trade & Transport Facilitation Azerbaijan	Diagnostic study as part of regional assessments	2002	Assessment of trade and transport issues in Azerbaijan, and development of a proposed strategy Establishment of AZ-PRO, public-private consultative group
Capacity Building of the State Customs Committee	Customs	UNDP	SCC	Training, MIS systems	2003-04	Third phase of project to install a data transmission network linking customs points; creation of a price reference database; development of risk management system
Evaluation of the draft SEZ law	Trade facilitation	WB	MED	Analysis of legislation (undertaken for this report)	2003	Analysis of proposed SEZ law
Enterprise Development						
Strengthening business associations	Association development	USAID	Azeri private sector	Financial and technical assistance	1991-	Small grants, training and technical assistance to business associations and NGOs
Assistance to SMEs	Firm level assistance	USAID	Azeri private sector	Long-term technical assistance	1999-	Training, technical assistance to selected agro-business enterprises and business associations
Private Sector Evaluation	Business Associations	USAID	Internal	Diagnostic study	2001	Assessment of the private sector and leading business associations
Non-oil industry evaluations	Industry analyses	EU Tacis	MED	Diagnostic studies	2001	Assessment of soft drinks, textiles, food processing, credit, machine building industries
Assessment of marine equipment & machinery industry	Industry analyses	Noraid	MED	Diagnostic study	2001	Evaluation of development potential of the Azeri marine equipment and machinery industry
Assessment of the ICT Industry	Sector Development	ITC/UNCTAD	MED	Diagnostic study	2002	Evaluation of ICT potentials in Azerbaijan
Non-oil industry assessments	Firm level assistance	GTZ	MED	Diagnostic studies leading to long-term technical assistance program	2002-	Background assessments of Azeri firms in garments, wines, fruit and vegetable processing, and machine building
Business Development Alliance	Business linkages and enterprise development	British Petroleum Embassy of Norway International Alert Eurasia	Azeri private sector	Long-term technical assistance	2002-	Development of supply and other linkages

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		Foundation Citizens Democracy Corps American Chamber of Commerce Azerbaijan Entrepreneurs Confederation				
Supply Chain Development Project	Enterprise Development	IFC	Azeri private sector	Long-term technical assistance	2003-04	Assessment of potential suppliers of goods and services for the oil and gas industry
Assessment of an agribusiness cluster	Cluster Development	WB	MED, Azeri private sector	Study conducted for this report	2002-03	Evaluation of the competitiveness of fruit and vegetable processing; strategic plan for a fruit and vegetable processing cluster
Corporate Governance Project	Firm level assistance	IFC	Azeri private sector	Long-term technical assistance	2003-04	Training and information to Azeri companies on best practices in corporate governance
Rural Enterprise Competitiveness Project	Private sector development	USAID	Government private sector	Long-term technical assistance	2003-05	Technical assistance to enhance competitiveness of agricultural enterprises & business associations

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Finance						
Credit to SMEs, farmers and agricultural businesses	SME finance	USAID	Azeri private sector	Long-term assistance	1999-	Credit and other assistance to SME and micro-enterprises
Credit line for SMEs	SME finance	EBRD, KfW, IFC	Local banks	Credit line	2000-	Credit line on-lent to SMEs through banking sector
National Fund for Entrepreneurship Development	SME finance	Government	Azeri private sector	Credit and equity assistance	2002-05	Fund for financing for SMMEs, to support micro-finance schemes; assistance to credit unions; venture capital; etc.
Micro-Finance Bank	Micro-finance	IFC	Azeri private sector	Feasibility and design study	2003	Micro-finance bank has been established with KfW, Black Sea Trade and Development Bank, EBRD and LFS
Microfinance strategy	Microfinance	ADB		Study	2003	Study to enhance microfinance activities in Azerbaijan
Micro-credit facilities	Microfinance	USAID through a variety of NGOs[41]	Farmers, rural enterprises, SMMEs	Credit facilities and assistance		Various micro-finance schemes including equipment loans and other methods

[41] ACDI/VOCA, DRA, DRC, FINCA, NHE, NRC, IOM, Oxfam, Save the Children, Shore Bank, WVI, etc. Credit facilities vary in terms of average size, interest rate, target population, and regions of coverage. (See "Azerbaijan Poverty Reduction and Private Sector Development," World Bank, June 2002, for more details)